

July 6, 2026 05:30 PM GMT

GLOBAL CREDIT STRATEGY

Global Credit: What We're Watching

A small favor: The [Extel Global Fixed Income](#) Survey is now open. If you have enjoyed our research, we'd appreciate your support in the Investment Grade, High Yield Strategy, and Credit Derivatives Strategy categories across US/EU/Asia. Thank you, and please reach out with any questions.

Key Recommendations: This week we outline our key recommendations across credit. In the US, we expect a gradual steepening of the 10s30s curve, driven by a modest decline in front-end yields. In Europe, we favor a barbell of sub-5y and long-end IG bonds. With worsening fiscal trends and rising election risk premiums on the horizon, we recommend buying protection on French banks versus selling iTraxx Senior Financials to hedge against further widening in OATs.

US Investment Grade: US IG spreads tightened 2bp last week, partially retracing the prior two weeks' widening and delivering excess returns of 0.1%. Spread curves bull-flattened and BBBs outperformed. Across sectors, transport, media, and utilities delivered the strongest excess returns, while banks, autos and telecoms lagged. US IG funds saw \$6.87bn of net inflows last week, the third largest flow this year, lifting YTD inflows to +\$90.75bn. Primary market activity was slowed down ahead of the holiday weekend, with \$18bn of bonds pricing last week. YTD supply is tracking at \$1,291bn (+28% YoY).

US Leveraged Credit: HY spreads tightened by 14bp last week, resulting in excess returns of 0.4% and total returns of 0.3%, outperforming both IG and loans. Loan spreads tightened by 2bp last week, delivering total returns of 0.2%. In HY, spreads tightened across all rating cohorts, with single Bs outperforming. Within loans, single Bs outperformed while CCCs lagged. Across HY sectors, media and tech outperformed, while autos and telecoms lagged. HY funds reported net inflows of \$2.1bn (-\$2.1bn YTD), while loan funds saw net inflows of \$430mn last week (+\$4.61bn YTD). HY and Loans each recorded \$1bn of issuance last week. YTD issuance now stands at \$181bn (+25% YoY) in HY and \$215bn (-5% YoY) in loans.

EU Investment Grade: EU IG modestly lagged US IG with spreads tightening by 1bp, resulting in excess returns of +0.1%. Spreads tightened similarly across the curve, while As outperformed across ratings. Autos and leisure outperformed, while insurance lagged. EUR IG fund flows modestly rebounded, but the levels remained subdued at +\$336m (0.05% of AUM). Both mutual funds and ETFs reported small positive net inflows. Primary market activity remained robust with €15bn of bonds issued last week, lifting YTD volumes to €448bn (+2% YoY).

EU High Yield: EU HY outperformed IG with spreads tightening by 2bp last week, resulting in excess returns of +0.2%. The moves were driven by compression in BBs, while CCCs traded flat and Bs underperformed. Basic industry and tech underperformed, while insurance, financial services, and consumer goods held in better. European HY fund inflows meanwhile accelerated, rising to ~\$800mn / 0.7% of AUM. ETFs saw very strong net inflows (strongest week since July 2025), but mutual funds also reported steady net inflows. Last week saw HY supply decelerate to €1bn of issuance, placing YTD supply at €84bn (-7% YoY).

Credit Derivatives: In synthetics, CDX IG and iTraxx Main each tightened by 1bp over the week, with XO outperforming and HY underperforming their respective IG counterparts. Implied volatility ticked lower over the week, with credit volatility continuing to trade near record lows relative to equities.

Asia Credit: Asia Credit spreads tightened by 1bp over the last week, while APAC Credit tightened by 3bp. In Asia credit, Asia HY (-11bp) outperformed Asia IG (-1bp). Similarly, in APAC credit, HY spread tightened by 12bp while IG spread tightened by 2bp.

List of Recent Publications:

[European Credit Strategy: 1Q26 Fundamentals: Quality-Led Resilience](#)
[Private Credit Tracker 1Q26 – Softening Fundamentals & Growing Dispersion](#)
[US Credit Strategy: 1Q26 Fundamentals Broad-Based Earnings Growth](#)

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All information as of July 03, 2026, unless otherwise indicated.

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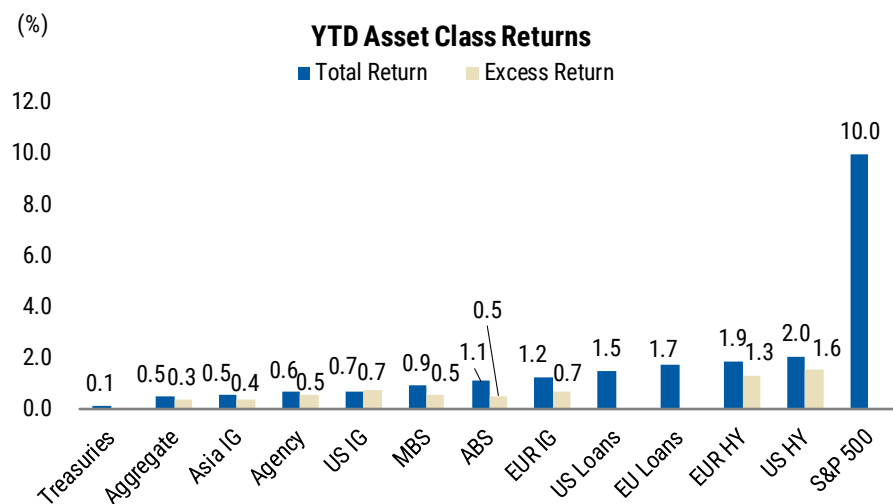
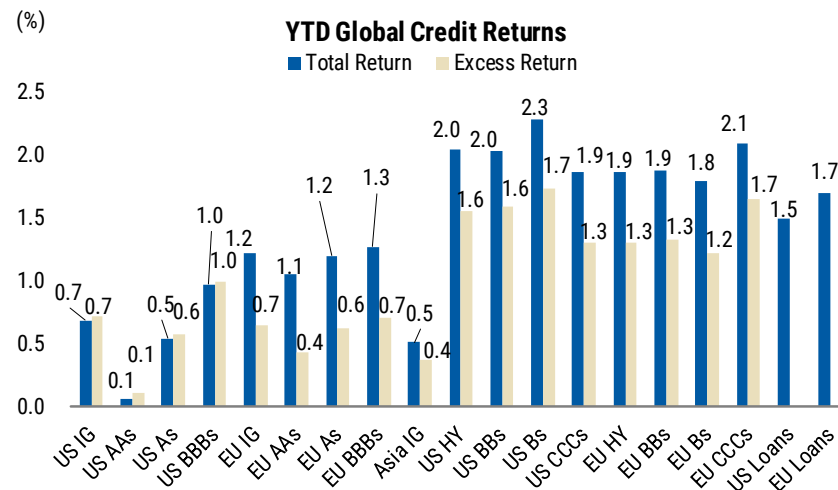
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Global Credit Snapshot

Global IG Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
US IG	74	(2)	(11)	(6)	23%	■	71	165	5%	■
EUR IG	78	(1)	(13)	(10)	31%	■	72	234	6%	■
Asia IG	58	(1)	(9)	(17)	16%	■	53	198	3%	■
CDX IG	50	(1)	(10)	0	27%	■	46	111	21%	■
iTraxx Main	51	(1)	(15)	(3)	8%	■	44	138	7%	■
EM IG	86	(3)	(15)	(14)	39%	■	77	218	8%	■
Agency MBS	24	2	3	(11)	46%	■	14	88	11%	■
CLO AAAs	124	(1)	(8)	(9)	12%	■	115	233	16%	■
RMBS AAAs	130	0	0	(20)	33%	■	60	280	27%	■
US As	62	(1)	(9)	(5)	28%	■	58	145	6%	■
US BBBs	91	(2)	(15)	(7)	15%	■	89	199	3%	■
US 3-5Y	64	(0)	(13)	(7)	19%	■	50	158	14%	■
US 5-7Y	73	(2)	(10)	(10)	16%	■	66	173	6%	■
US 7-10Y	88	(2)	(9)	(6)	36%	■	81	200	8%	■
US 10Y+	92	(3)	(9)	(3)	34%	■	87	203	7%	■
US Financials	76	(1)	(15)	(6)	22%	■	72	188	6%	■
US Industrials	72	(2)	(9)	(4)	24%	■	69	160	5%	■
US Utilities	78	(3)	(12)	(11)	6%	■	77	161	1%	■
EUR As	69	(2)	(13)	(7)	22%	■	65	200	4%	■
EUR BBBs	91	(1)	(14)	(11)	42%	■	83	273	8%	■
EUR 3-5Y	79	(1)	(14)	(11)	39%	■	71	245	8%	■
EUR 5-7Y	92	(1)	(13)	(10)	35%	■	85	251	8%	■
EUR 7-10Y	96	(1)	(11)	(11)	16%	■	91	247	3%	■
EUR 10Y+	93	(1)	(9)	(7)	25%	■	88	234	5%	■

Global HY Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
US HY	267	(14)	(34)	(10)	28%	■	250	583	10%	■
EUR HY	273	(2)	(42)	(28)	53%	■	247	668	11%	■
CDX HY	302	(4)	(74)	(12)	9%	■	273	627	14%	■
Xover	241	(6)	(87)	(42)	2%	■	225	662	1%	■
US BBs	154	(12)	(29)	(10)	6%	■	149	413	2%	■
US Bs	275	(16)	(55)	6	34%	■	236	653	18%	■
US CCCs	773	(3)	75	123	97%	■	444	1,133	58%	■
EUR HY BBs	167	(2)	(32)	(39)	15%	■	149	526	3%	■
EUR HY Bs	329	2	(82)	(8)	55%	■	279	837	16%	■
EUR HY CCCs	1,151	0	(3)	94	93%	■	556	1,549	68%	■

Asia Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
iTraxx Japan	60	0	(10)	(1)	65%	■	42	117	51%	■
iTraxx Australia	68	(1)	(16)	(4)	49%	■	56	152	32%	■
Asia Credit	97	(3)	(16)	(19)	15%	■	93	407	3%	■
Asia IG	58	(1)	(9)	(17)	16%	■	53	198	3%	■
Asia HY	317	(17)	(85)	(47)	6%	■	309	1,536	1%	■
China IG	44	(1)	(9)	(28)	13%	■	39	226	3%	■
China HY	527	(1)	(16)	126	86%	■	345	2,570	32%	■

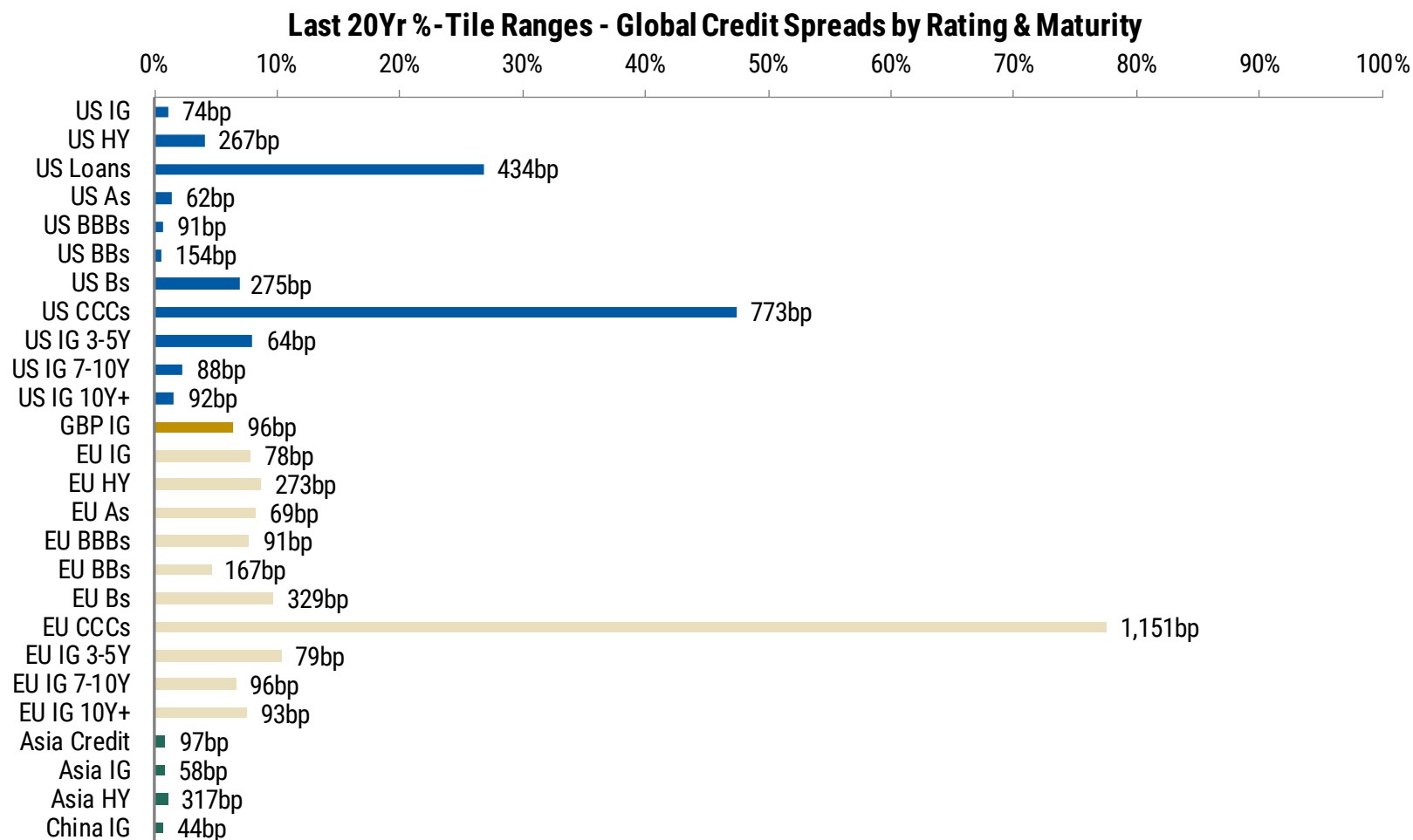


Performance Across Asset Classes

Market		Ccy	Latest	1Y	1 Mth Δ	3 Mth Δ	2026 Δ
EQUITIES			Level	Total Returns (%)			
US	S&P 500	USD	7,483	■	(1.6)	14.0	10.0
	Russell 2000	USD	2,996	■	2.3	18.8	21.5
	DJIA	USD	52,900	■	3.2	14.2	11.0
	NASDAQ	USD	25,833	■	(4.6)	18.2	11.5
	MSCI EAFE	USD	3,169	■	2.3	9.8	11.8
Europe	MSCI EUROPE	EUR	218	■	5.4	11.4	13.1
Asia	TOPIX	JPY	4,065	■	1.8	11.6	20.7
	HSI	HKD	23,350	■	(8.1)	(5.5)	(7.1)
	CSI 300	CNY	4,842	■	(1.4)	10.0	5.7
	KOSPI	KRW	8,088	■	(8.1)	50.5	93.1
	Nifty	INR	24,271	■	4.2	7.6	(6.3)
EM	MSCI EM	USD	1,722	■	(3.4)	20.4	24.0
RATES			Yield (%)	Yield Change (bp)			
US	US 2 Year	USD	4.14	■	(4)	27	66
	US 5 Year	USD	4.23	■	0	22	50
	US 10 Year	USD	4.48	■	2	11	32
	US 30 Year	USD	4.99	■	3	2	14
Europe	Bund 2Y	EUR	2.54	■	1	(11)	42
	Bund 5Y	EUR	2.65	■	6	(10)	20
	Bund 10Y	EUR	2.94	■	8	(10)	8
	Bund 30Y	EUR	3.51	■	9	(4)	3
Japan	Japan 5Y	JPY	1.94	■	4	4	39
	Japan 10Y	JPY	2.79	■	10	26	72
China	China 5Y	CNY	1.43	■	1	(5)	(18)
	China 10Y	CNY	1.74	■	1	(1)	(11)
India	India 5Y	INR	6.41	■	(2)	(34)	10
	India 10Y	INR	6.72	■	(0)	(32)	13
South Korea	South Korea 5Y	KRW	3.99	■	5	20	75
	South Korea 10Y	KRW	4.20	■	10	27	82

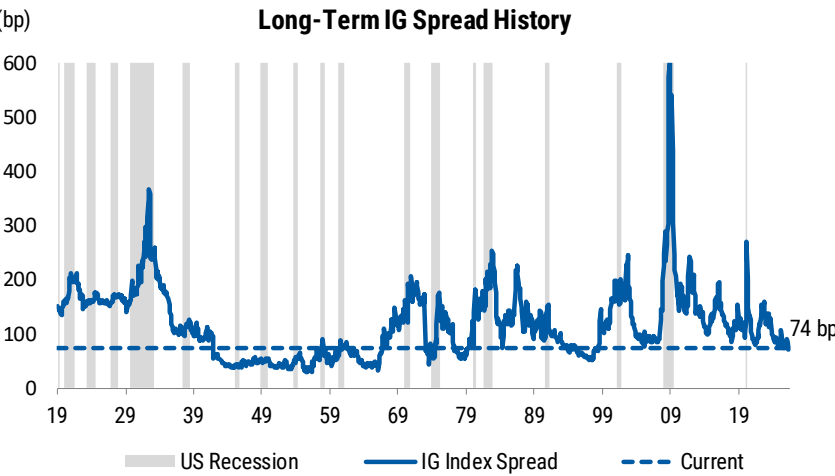
Market		Ccy	Latest	1Y	1 Mth Δ	3 Mth Δ	2026 Δ
FX			Spot	% Change (vs. USD)			
G10	EURUSD	-	1.14	■	0.1	(2.5)	(2.6)
	GBPUSD	-	1.34	■	0.7	(1.9)	(0.9)
	USDCAD	-	1.42	■	(0.0)	(4.6)	(3.5)
	USDJPY	-	161	■	0.7	(3.0)	(3.0)
APAC / EM	USDBRL	-	5.2	■	(0.1)	(4.3)	5.6
	USDINR	-	95.2	■	(0.6)	(0.3)	(5.9)
	USDCNY	-	7	■	0.1	0.7	3.0
	USDCNH	-	7	■	0.1	0.7	2.7
	USDKRW	-	1530	■	1.2	(3.5)	(5.9)
COMMODITIES				% Change			
	S&P GSCI	USD	617.1	■	(0)	(20)	13
	Oil (WTIC, \$/bbl)	USD	68.8	■	(1)	(35)	20
	Brent Crude	USD	72.1	■	(1)	(37)	19
	Natural Gas (\$/MMBtu)	USD	3.2	■	(2)	16	(13)
	Copper (\$/lb)	USD	617	■	(1)	3	8
	Gold (\$/oz)	USD	4,187	■	2	(11)	(5)
CREDIT			Spread (bp)	Spread Change (bp)			
US	IG Corporates	USD	74	■	0	(4)	(4)
	HY Corporates	USD	267	■	(3)	(1)	1
EUR	IG Corporates	EUR	78	■	(2)	(3)	0
	HY Corporates	EUR	273	■	4	(8)	8
EM	EM Sovereign	USD	167	■	1	(9)	(16)
APAC	Asia Credit	USD	97	■	(0)	(5)	(8)
	Asia IG	USD	58	■	1	(0)	(7)
	Asia HY	USD	317	■	(8)	(53)	(39)
	China IG	USD	44	■	(0)	(4)	(16)

Global Credit Percentile Ranges



Source: Bloomberg, ICE BAML Morgan Stanley Research; Note: Spreads to Treasuries/Bunds/Gilts.

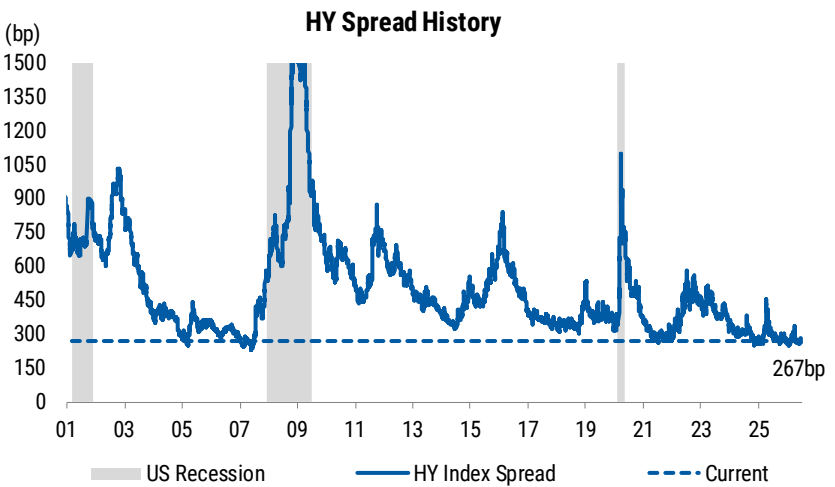
US Credit Long-Term Spreads and Yields



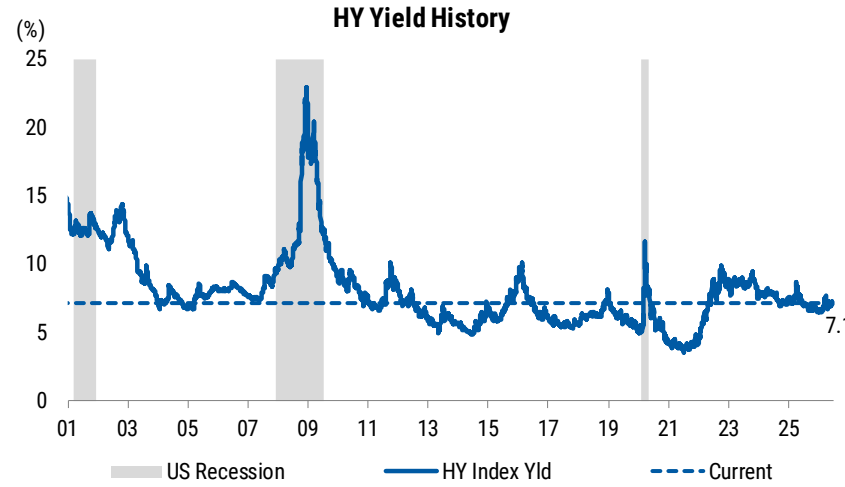
Source: Bloomberg, Moody's, NBER, Morgan Stanley Research



Source: Bloomberg, Moody's, NBER, Morgan Stanley Research

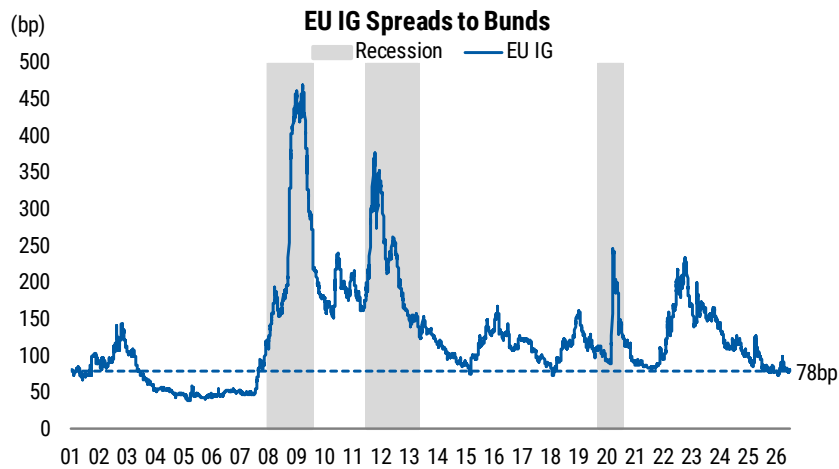


Source: Bloomberg, Morgan Stanley Research

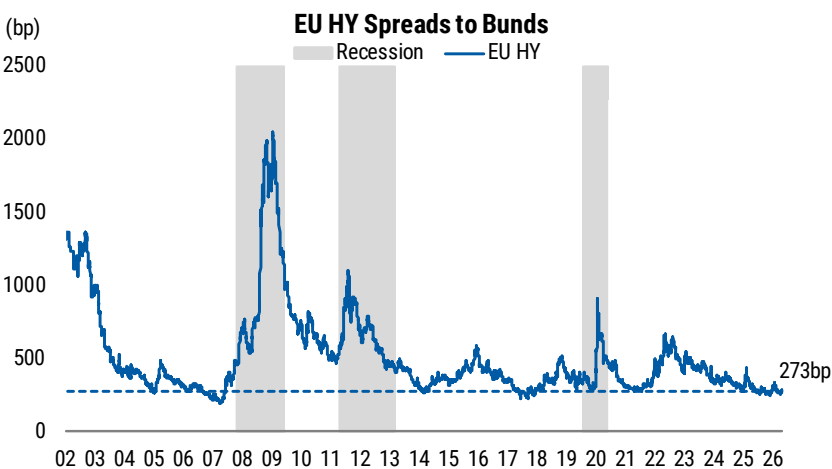


Source: Bloomberg, Morgan Stanley Research

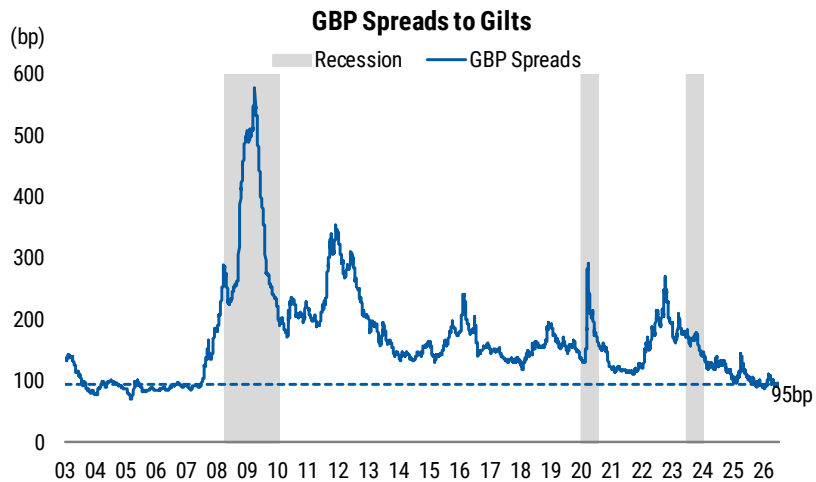
Europe and Asia Credit Long-Term Spreads



Source: Bloomberg, EACBN, Morgan Stanley Research



Source: Bloomberg, EACBN, Morgan Stanley Research

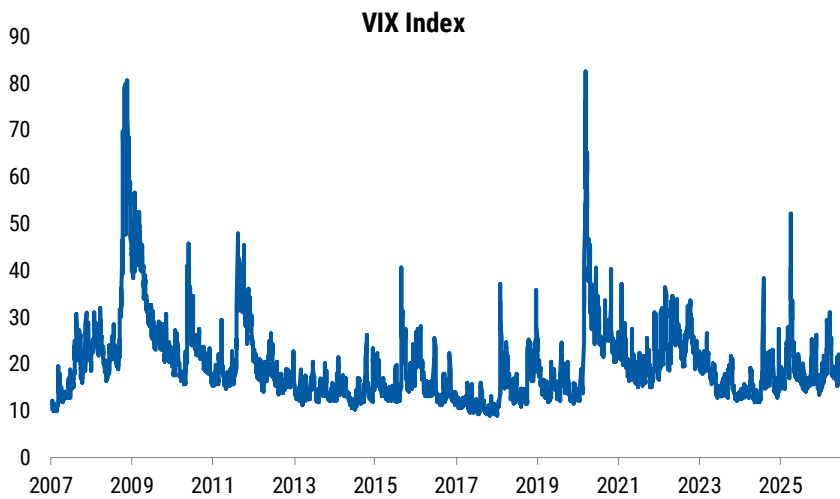


Source: IHS Markit, Haver Analytics, Morgan Stanley Research

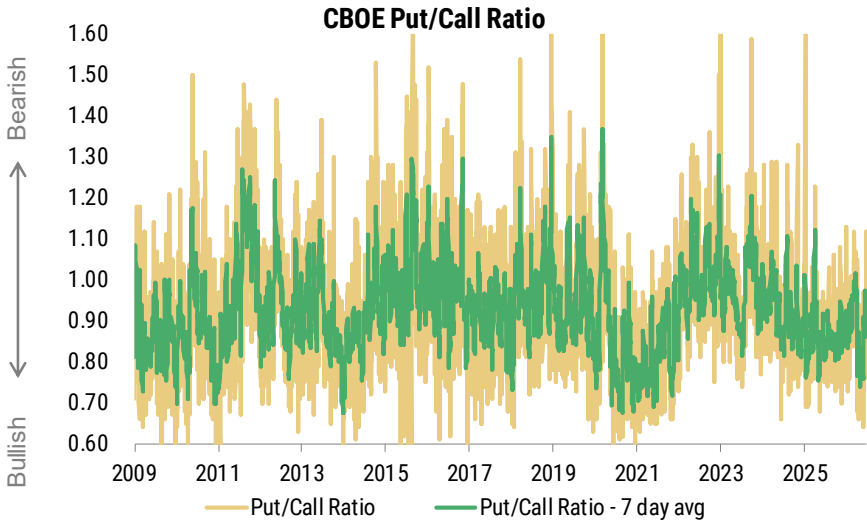


Source: Bloomberg, Haver Analytics, Morgan Stanley Research

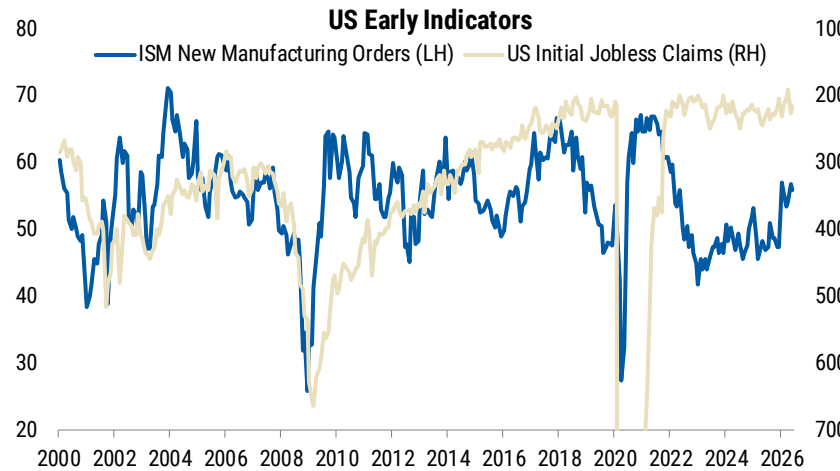
Macro Sentiment Indicators



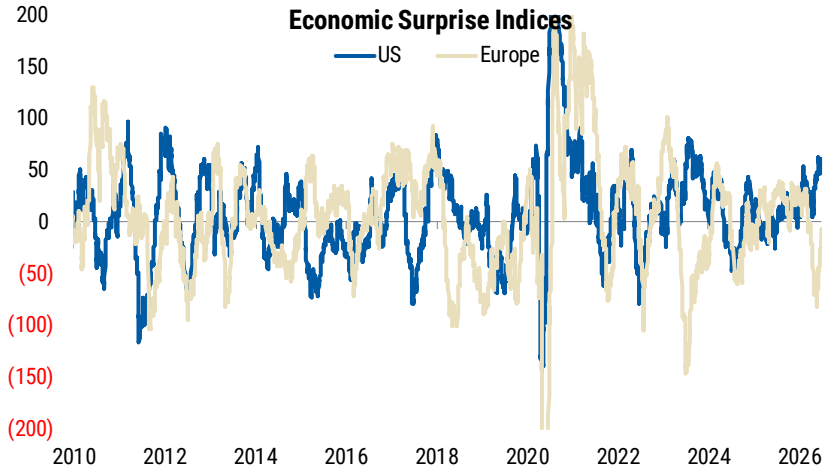
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

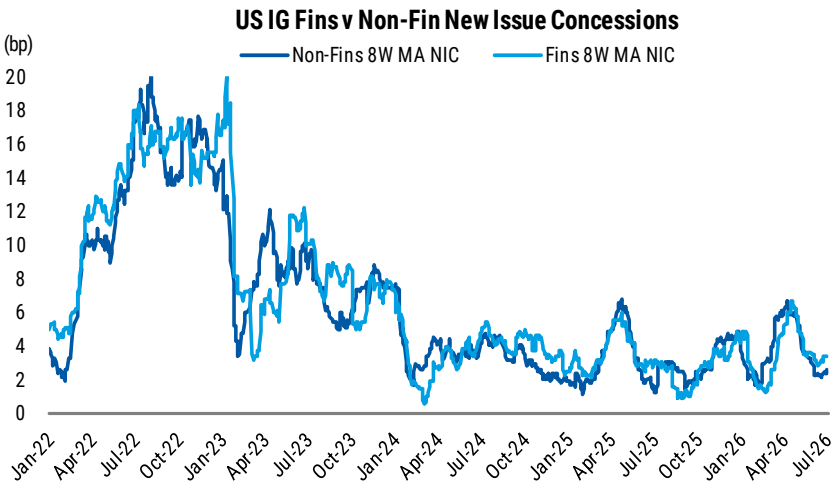


Source: ISM, Department of Labor, Bloomberg, Morgan Stanley Research

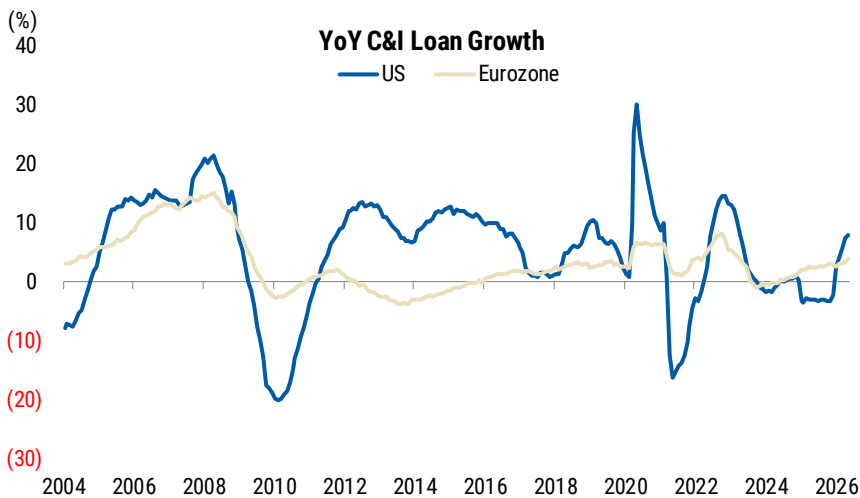


Source: Bloomberg, Citi, Morgan Stanley Research

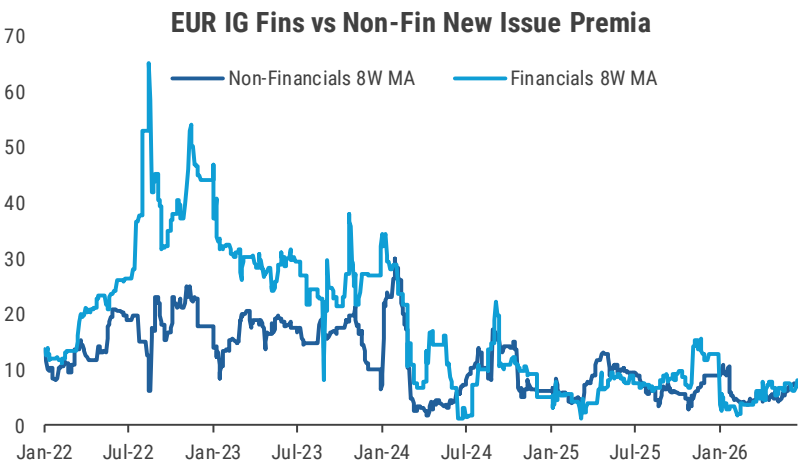
Credit Sentiment Indicator



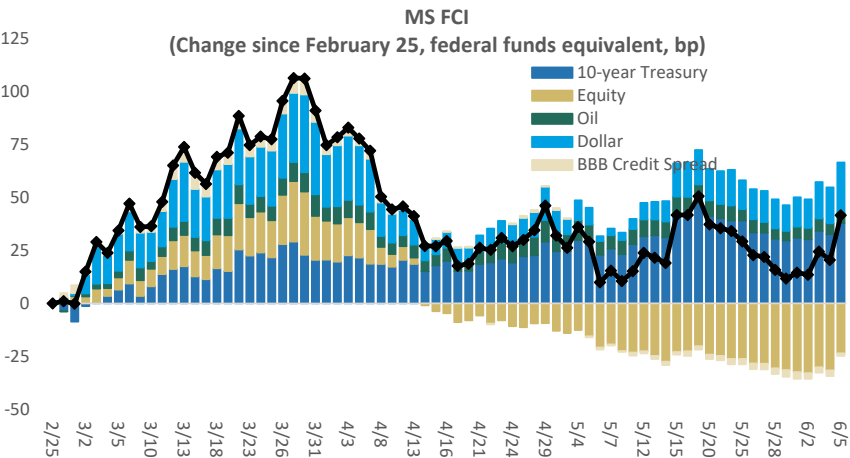
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, ECB, Federal Reserve, Morgan Stanley Research; Note: Seasonally adjusted.



Source: Bloomberg, Morgan Stanley Research



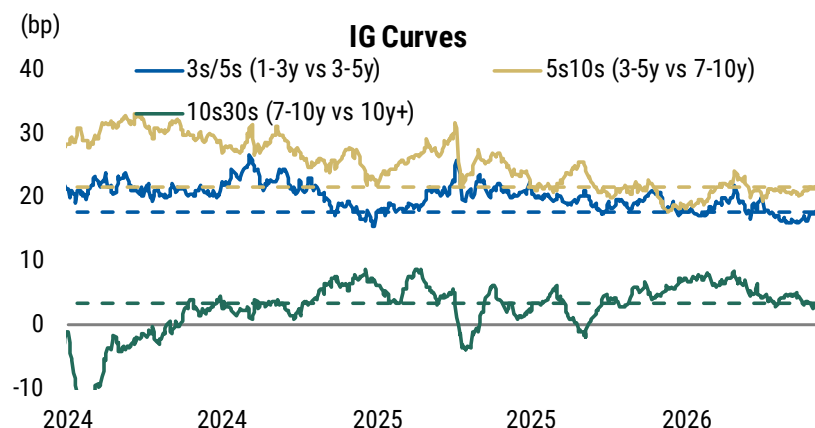
Source: Bloomberg, FRB/US, Morgan Stanley Research

Key Recommendations

US – 10s/30s Spread Curves to Steepen

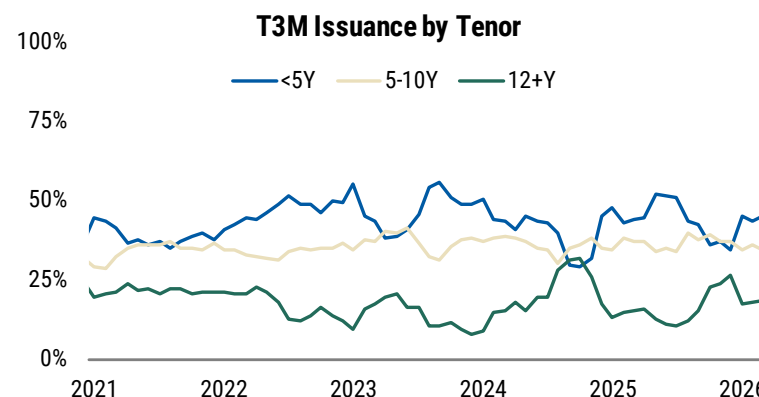
- We expect gradual 10s–30s steepening, though less pronounced than at the beginning of the year, with recent flattening and modest yield declines led by the front end.
- Long-end issuance has been concentrated in high-quality hyperscalers, limiting steepening, though incremental M&A supply may add some support further out the curve.

10s30s below 30th percentile, has been below 10bps since 2022



Source: Bloomberg, Morgan Stanley Research

Long-end issuance ticking up due to large hyperscaler and M&A deals



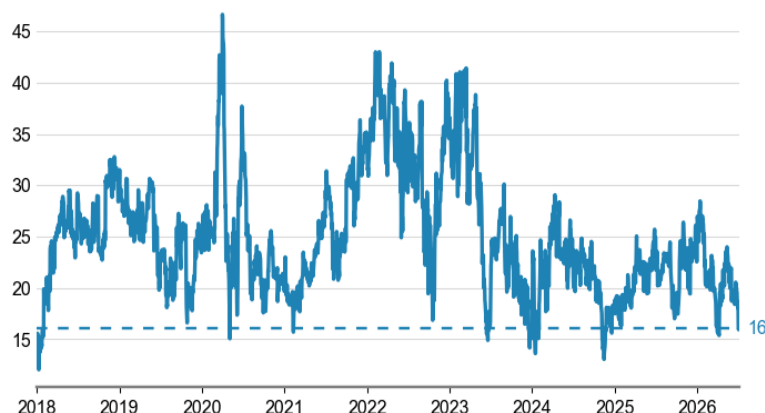
Source: Dealogic, Morgan Stanley Research; Note: Data as of April 30, 2026

EU – Barbelling <5y With Long-End

- **3-5y in the sweet spot:** This part of the curve continues to benefit from fixed maturity fund demand, and the cohort has cheapened up this year relative to longer-dated credit in spread terms, based on our bottom-up framework. Additionally, yield curves have bear-flattened since early March, adding a further boost for yield buyers to focus on the <5yr cohorts. Meanwhile, seasonal upswing in issuance should put more pressure on longer-dated spreads.
- **15y+ spreads have steepened relative to the 10-15y:** We like pairing the above positioning with adding risk through the very long-end, given the recent steepening of the curve.
- [As we discuss in our mid-year outlook](#), buying into new issues could be a good opportunity to implement such positioning, but we also provide screens of flattest curves between 3-5y and further out, as well as steepest curves between 10-15y and 15y+.

Flat curves in the belly provide opportunities to switch into shorter dated bonds without ceding significant carry and roll-down

10-15y vs. 3-5y EUR 'A' Non-Fin Snr Carry+Roll (bp)



Source: Bloomberg, ICE BofA, Morgan Stanley Research; Note: Charts show the median indicative carry and roll across issuer-rating curves in each maturity cohort within the iBoxx EUR IG Non-Fin Senior index. Yield and spread curves are fitted via a logarithmic regression.

For yield buyers, longer duration also provides attractive carry

15+y vs. 10-15y EUR 'A' Non-Fin Snr Carry+Roll (bp)



Source: Bloomberg, ICE BofA, Morgan Stanley Research; Note: Charts show the median indicative carry and roll across issuer-rating curves in each maturity cohort within the iBoxx EUR IG Non-Fin Senior index. Yield and spread curves are fitted via a logarithmic regression.

EU – Barbell <5y With Long-End

Screening for bond switches where the curve is flattest between 3-5y and 5-7y...

Bond		Price		Spreads (bp)		YTD Percentile		Carry + Roll (bp)		
5-7Yr	3-5Yr	5-7Yr	3-5Yr	5-7Yr	3-5Yr	5-7Yr	3-5Yr	5-7Yr	3-5Yr	Diff.
A										
BMW 0.2 01/11/33	BMW 3 1/8 08/27/30	82	99	57	74	34%	80%	89	106	-16
DHLGR 1 05/20/32	DHLGR 3 1/4 12/23/30	89	100	43	60	25%	18%	79	94	-15
PM 3 1/8 06/03/33	PM 3 3/4 01/15/31	98	101	70	84	28%	67%	98	113	-15
OMVAV 3 1/4 09/04/31	OMVAV 0 3/4 06/16/30	101	92	44	47	13%	34%	68	75	-7
KO 3 1/8 05/14/32	KO 0.4 05/06/30	100	90	48	50	35%	34%	71	76	-5
AIRFP 2 3/8 04/07/32	AIRFP 1 3/8 05/13/31	96	92	54	57	48%	56%	72	77	-5
RTEFRA 3 1/2 12/07/31	RTEFRA 1 1/2 09/27/30	100	93	77	77	38%	23%	100	103	-3
LRFP 1 7/8 07/06/32	LRFP 0 3/4 05/20/30	92	91	58	57	13%	81%	91	93	-2
BKNG 4 1/2 11/15/31	BKNG 3 11/07/30	105	99	82	80	22%	46%	119	121	-2
ESBIRE 4 05/03/32	ESBIRE 1 7/8 06/14/31	103	93	75	74	12%	41%	94	95	-1
ABIBB 3.45 09/22/31	ABIBB 1.65 03/28/31	101	93	58	52	33%	0%	84	84	-1
TTEFP 1.994 04/08/32	TTEFP 3.075 07/01/31	93	99	61	61	5%	19%	91	92	-1
MLFP 0 1/4 11/02/32	MLFP 3 1/8 05/16/31	82	99	69	71	58%	73%	91	92	-1
AZN 3 3/4 03/03/32	AZN 3.121 08/05/30	102	100	55	53	33%	26%	81	81	0
EFFP 0 3/4 11/27/31	EFFP 2 5/8 01/10/30	88	98	58	58	24%	76%	81	82	0
BBB										
EOANGR 0.6 10/01/32	EOANGR 3.475 05/27/31	85	101	50	69	6%	73%	82	99	-17
AKZANA 2 03/28/32	AKZANA 4 03/25/31	91	101	98	114	32%	35%	143	158	-14
HEIGR 3 3/8 10/17/31	HEIGR 3 1/2 10/10/29	100	101	67	74	76%	90%	101	114	-12
EDF 5 5/8 02/21/33	EDF 2 10/02/30	112	95	71	73	3%	34%	112	121	-10
TRAGR 1 1/4 03/24/33	TRAGR 3 3/4 01/14/31	85	100	108	116	10%	77%	143	151	-8
VW 1 1/4 09/23/32	VW 4 11/26/30	86	101	116	122	51%	78%	155	162	-7
NGGLN 3.949 09/20/32	NGGLN 1.054 01/20/31	102	90	85	85	43%	40%	114	120	-6
ENGIFP 2 1/8 03/30/32	ENGIFP 3 7/8 01/06/31	94	102	68	75	8%	52%	101	106	-6
VIEFP 0 1/2 10/14/31	VIEFP 3.209 01/14/31	86	99	77	84	18%	42%	110	115	-5
RIFP 0 7/8 10/24/31	RIFP 3 3/8 11/07/30	88	100	63	71	0%	35%	99	104	-5
HERIM 3 1/4 07/15/31	HERIM 0 1/4 12/03/30	100	88	70	70	21%	33%	103	107	-4
AMPRIO 3.971 09/22/32	AMPRIO 3.162 01/15/31	102	99	84	85	35%	48%	107	110	-3
ABESM 1 7/8 03/26/32	ABESM 3 1/8 07/07/30	92	99	80	83	0%	14%	103	106	-3
CAFP 4 3/8 11/14/31	CAFP 3 1/4 06/24/30	104	99	88	84	42%	63%	132	135	-3
HTHROW 1 7/8 07/12/32	HTHROW 1 1/2 02/11/30	91	94	93	91	37%	37%	136	139	-3

Source: Bloomberg, ICE BofA, Morgan Stanley Research

...and switches where the curve is steepest between 10-15y and 15y+

Bond		Price		Spreads (bp)		YTD Percentile		Carry + Roll (bp)		
15Yr+	10-15Yr	15Yr+	10-15Yr	15Yr+	10-15Yr	15Yr+	10-15Yr	15Yr+	10-15Yr	Diff.
A										
BMY 4.581 11/10/55	BMY 3.857 11/10/38	98	99	123	66	24%	0%	140	91	48
MDT 1 5/8 10/15/50	MDT 2 1/4 03/07/39	58	83	112	70	78%	14%	131	92	39
TMO 1 7/8 10/01/49	TMO 1 1/2 10/01/39	63	75	104	71	75%	9%	123	93	30
ENFP 5 3/8 06/30/42	ENFP 3 1/4 06/30/37	111	96	114	80	10%	8%	137	108	29
ABIBB 3.95 03/22/44	ABIBB 3.7 04/02/40	95	96	110	81	14%	6%	132	103	29
EJRAIL 4.389 09/05/43	EJRAIL 1.104 09/15/39	100	71	111	75	21%	16%	137	109	27
DT 1 3/4 12/09/49	DT 2 1/4 03/29/39	62	84	92	62	70%	16%	112	85	27
BKNG 4 03/01/44	BKNG 4 1/2 05/11/39	92	101	141	113	13%	0%	170	144	26
MRK 3 3/4 05/30/54	MRK 1 3/8 11/02/36	87	81	105	70	32%	30%	123	97	26
DHR 1.8 09/18/49	DHR 1.35 09/18/39	63	74	92	68	31%	13%	107	85	22
PEP 4.05 07/28/55	PEP 0 7/8 10/16/39	93	69	96	67	67%	37%	108	86	22
KO 3 1/2 05/14/44	KO 0.8 03/15/40	91	67	92	66	15%	4%	109	88	21
IBM 4 02/06/43	IBM 3.45 02/10/37	95	96	119	95	31%	11%	141	121	21
LIN 1 09/30/51	LIN 3 3/4 11/20/38	49	98	82	64	31%	0%	100	82	18
TTEFP 3.852 03/03/45	TTEFP 1.535 05/31/39	92	75	104	82	12%	17%	125	110	15
BBB										
EDF 2 12/09/49	EDF 4 1/2 11/12/40	60	102	147	106	51%	0%	180	140	40
ENGIFP 4 1/4 01/11/43	ENGIFP 1 3/8 06/21/39	97	73	123	84	13%	0%	146	114	33
VOD 4 02/10/43	VOD 2 1/2 05/24/39	94	83	121	95	12%	18%	148	127	21
AMPRIO 4.58 01/15/46	AMPRIO 3.85 08/27/39	100	96	118	96	48%	20%	134	115	19
EOANGR 4 1/8 03/25/44	EOANGR 4 01/16/40	99	99	96	85	8%	14%	118	109	9
MDLZ 1 1/4 09/09/41	MDLZ 1 3/8 03/17/41	68	70	88	85	0%	0%	104	101	3
TMUS 3.8 02/11/45	TMUS 3 1/2 02/11/37	91	96	113	106	12%	41%	136	135	1
ORAFP 4 1/8 11/13/45	ORAFP 3 3/4 09/04/37	96	98	102	101	70%	25%	119	122	-3

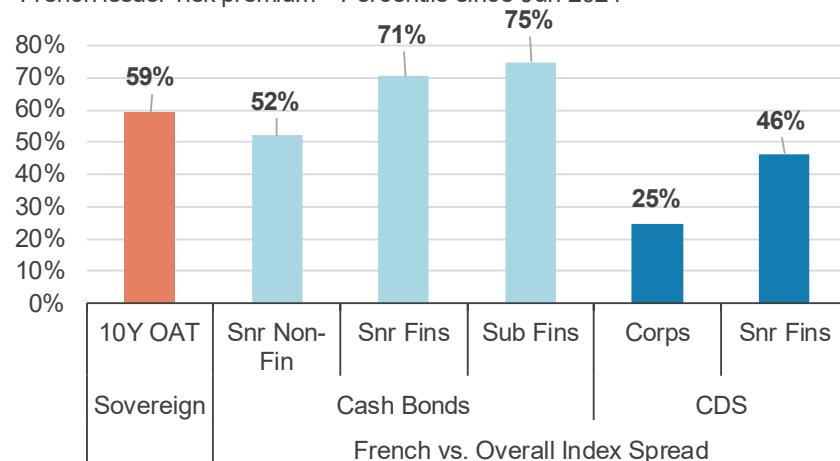
Source: Bloomberg, ICE BofA, Morgan Stanley Research

EU – Buy French Bank CDS vs. Sell iTraxx Senior Financials

- **French sovereign risks on the rise:** Our economists recently noted that the fiscal picture is tracking worse than expected in France, prompting them to revise higher their deficit forecasts for this year, while also highlighting a busy July agenda on public finances (see [France Macro: 2026 Public Deficit: More Than Expected](#)). Our rates colleagues view these developments as likely to keep [pressure on French sovereign spreads](#), and they recommend shorting OATs vs. an equal weighted basket of Italian and German government bonds.
- French risk premia within corporate credit has broadly tracked the performance of OATs over the past two years, leaving these cohorts exposed to further widening in sovereign spreads. However, we think cash spreads have underperformed the moves in OATs. We prefer to position for this move by **buying protection on French Bank CDS versus selling protection on iTraxx SnrFins**, as the relationship has not fully priced in the recent widening in OATs, currently trading at only +4bp.

French risk has already underperformed the moves in OATs in cash credit...

French issuer risk premium - Percentile since Jun 2024



Source: Bloomberg, IHS Markit, Morgan Stanley Research

...but the basis between French and overall senior fins remains tight relative to the sovereign

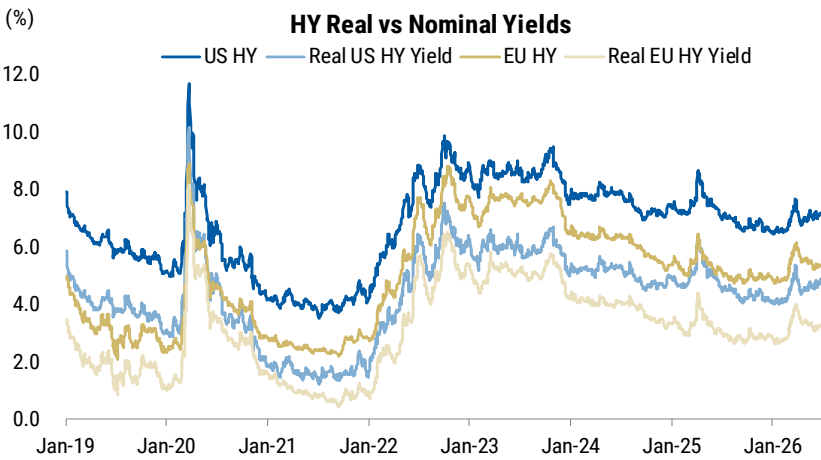
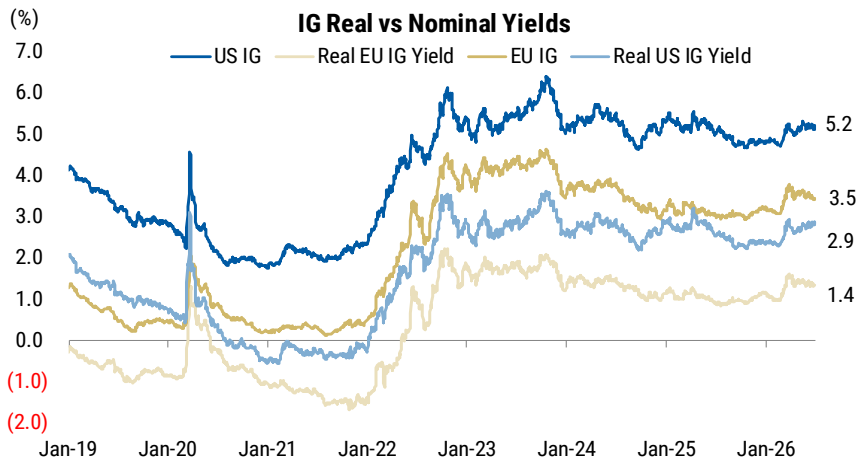
French Bank Snrs vs iTraxx SnrFins, CDS (bp)



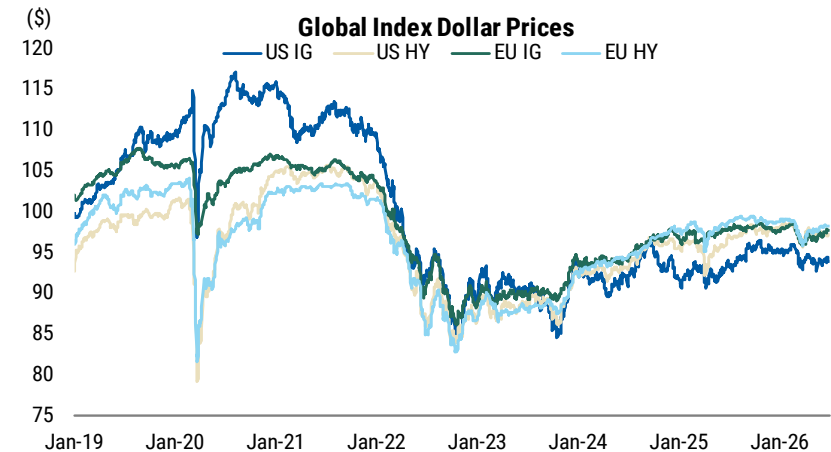
Source: Bloomberg, IHS Markit, Morgan Stanley Research

US and EU Credit

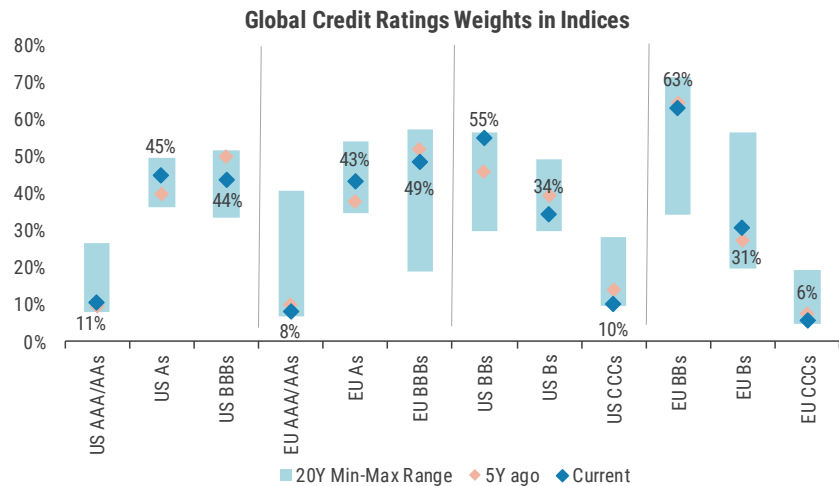
Yields, Dollar Prices, and Index Quality



Source: Bloomberg, Morgan Stanley; Note: Real Yield is the difference of index YTW and 5Y5Y breakevens



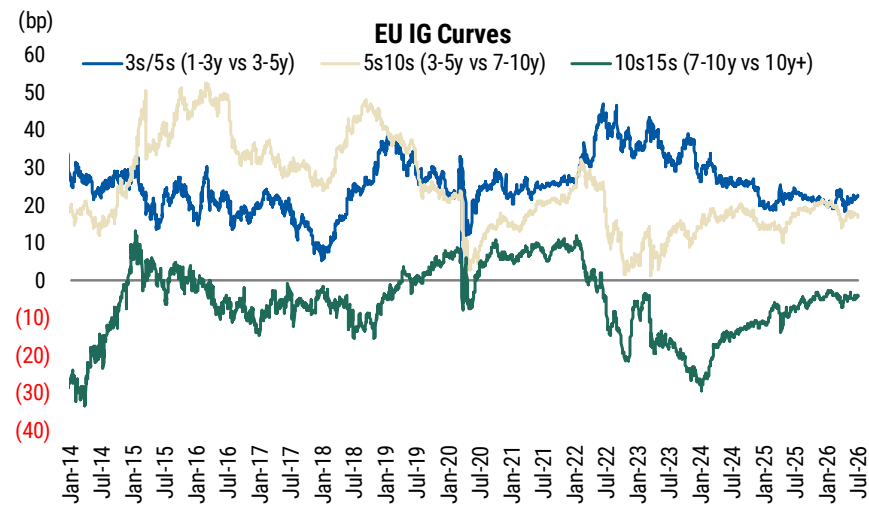
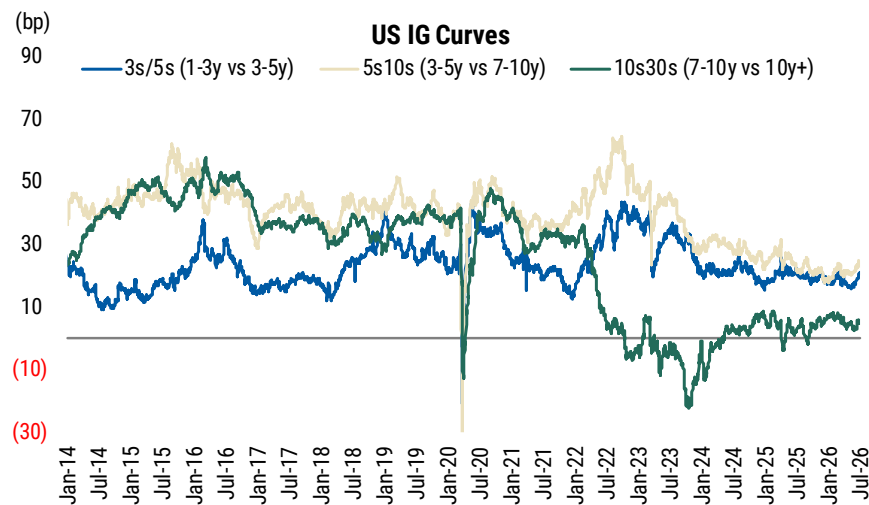
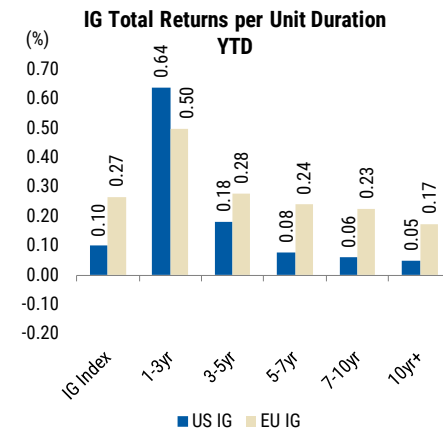
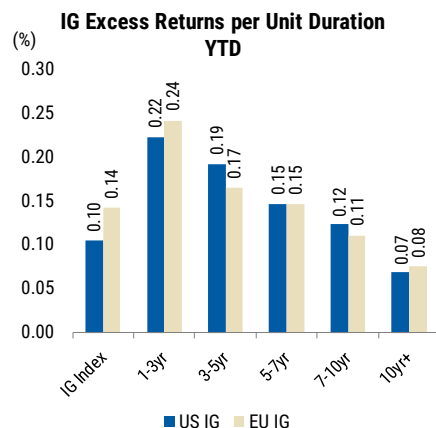
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

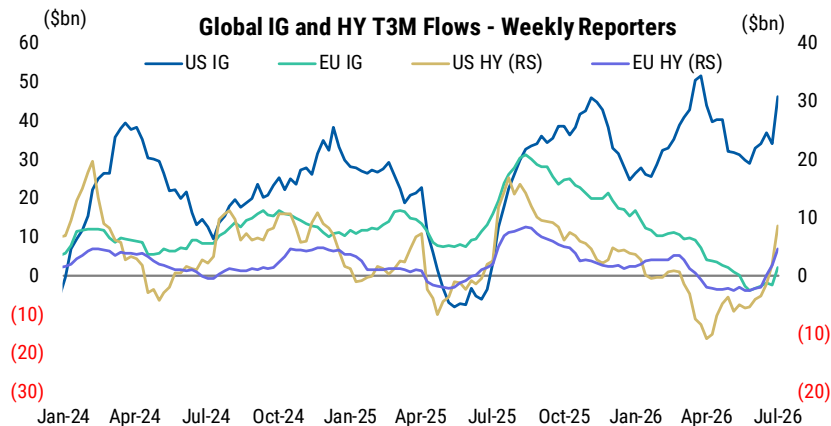
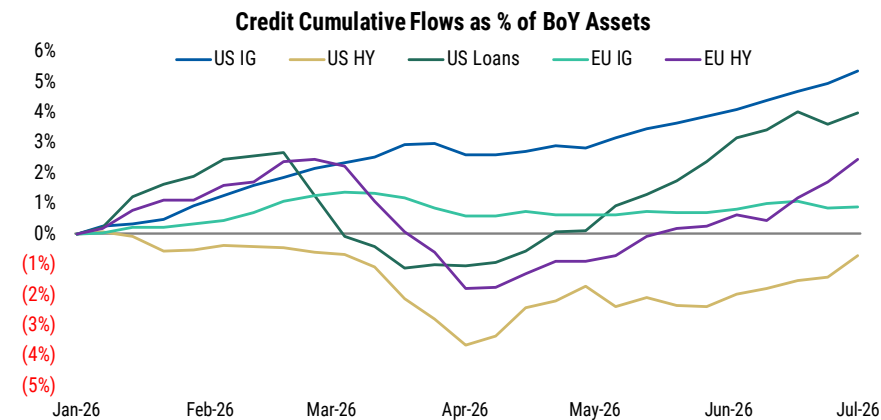
Curve Performance

Curves Performance	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	20Y %Tile	20Y %Tile Range
US 1-3y	44	0	(17)	(7)	4%	■	6%	■
US 3-5y	64	1	(16)	(7)	18%	■	8%	■
US 5-7y	73	(0)	(15)	(10)	15%	■	3%	■
US 7-10y	88	0	(14)	(6)	34%	■	2%	■
US 10y+	92	(1)	(13)	(3)	33%	■	2%	■
US 3s5s	21	1	1	(0)	93%	■	42%	■
US 5s10s	23	(1)	2	2	85%	■	23%	■
US 10s30s	5	(1)	0	2	49%	■	28%	■
EUR 1-3y	58	1	(18)	(9)	41%	■	12%	■
EUR 3-5y	80	1	(19)	(10)	53%	■	12%	■
EUR 5-7y	93	1	(18)	(8)	48%	■	12%	■
EUR 7-10y	97	0	(16)	(10)	30%	■	8%	■
EUR 10y+	93	1	(13)	(6)	33%	■	9%	■
EUR 3s5s	23	1	(0)	(1)	79%	■	46%	■
EUR 5s10s	17	(1)	3	(0)	11%	■	29%	■
EUR 10s15s	-4	0	3	4	76%	■	67%	■

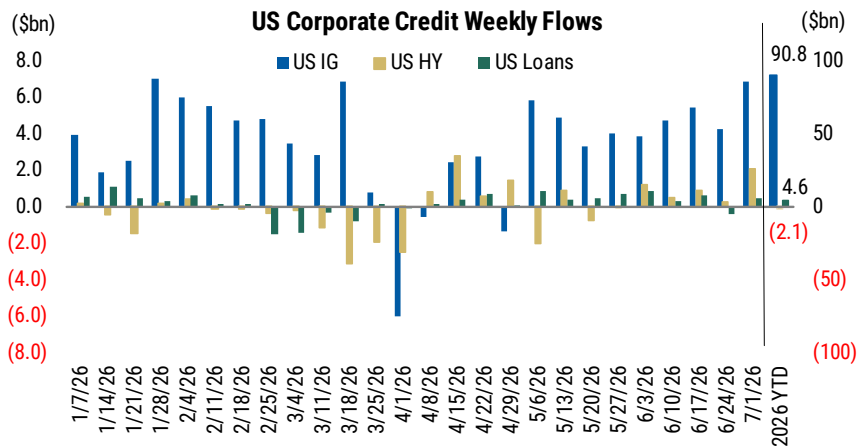


Source: Bloomberg, Morgan Stanley Research

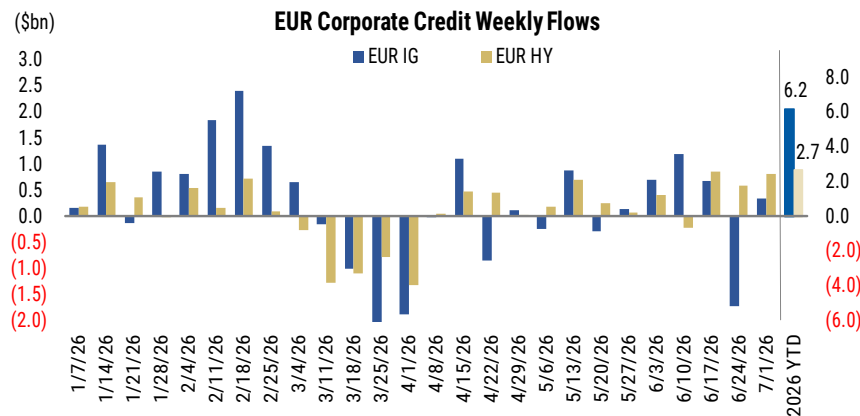
Global Credit Demand



Source: Lipper, EPFR, Morgan Stanley Research;



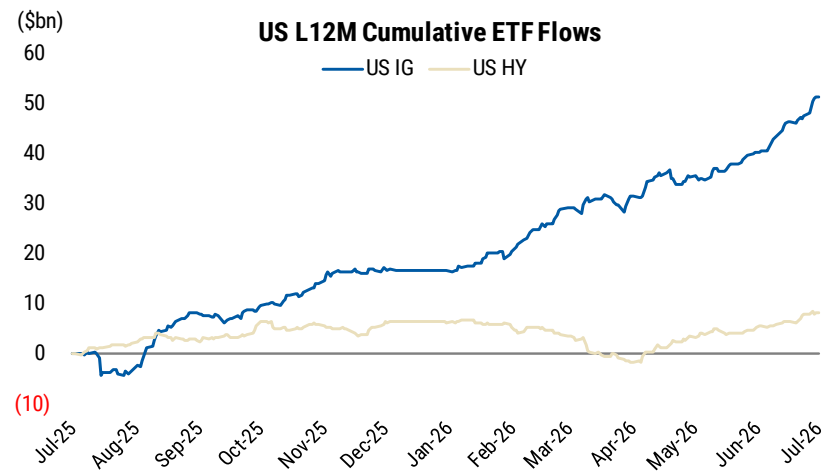
Source: Lipper, EPFR, Morgan Stanley Research



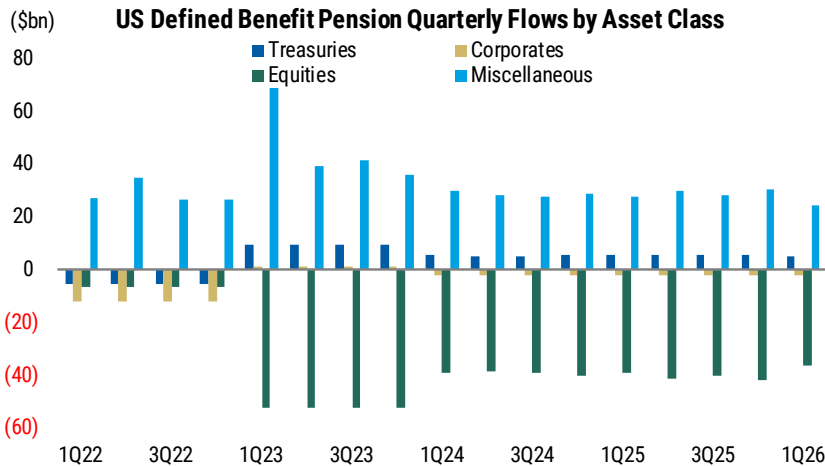
Source: Lipper, Morgan Stanley Research

Source: EPFR, Morgan Stanley Research

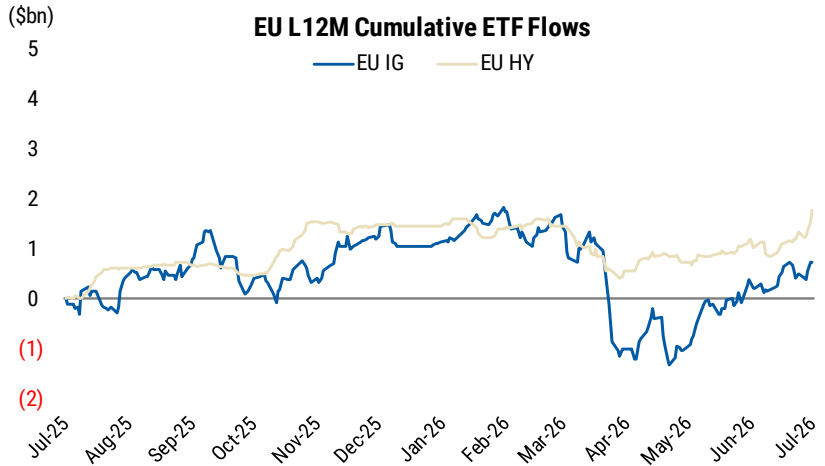
Global Credit Demand



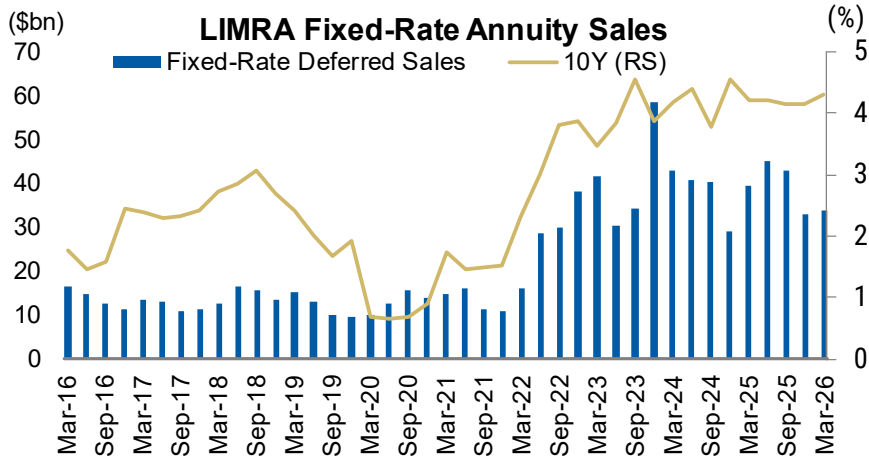
Source: Bloomberg, Morgan Stanley Research



Source: Federal Reserve, Morgan Stanley Research

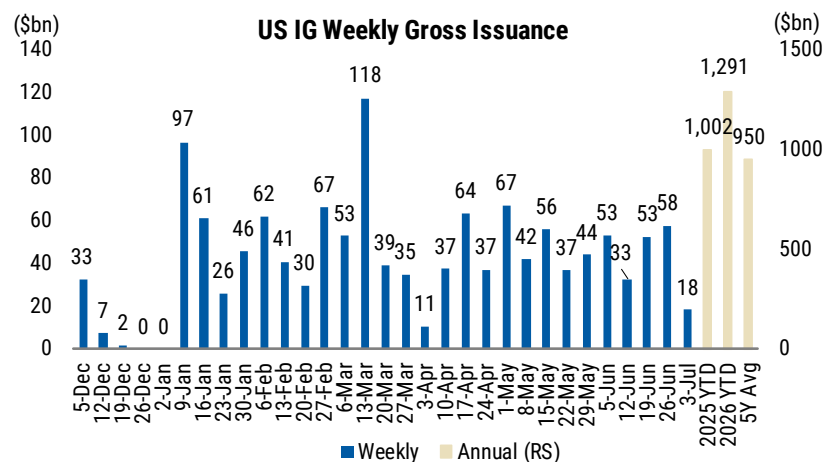


Source: Bloomberg, Morgan Stanley Research

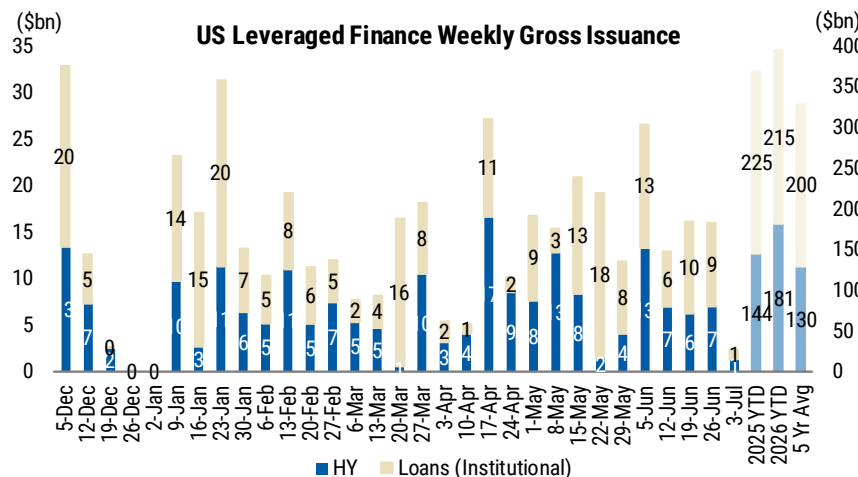


Source: LIMRA, Morgan Stanley Research

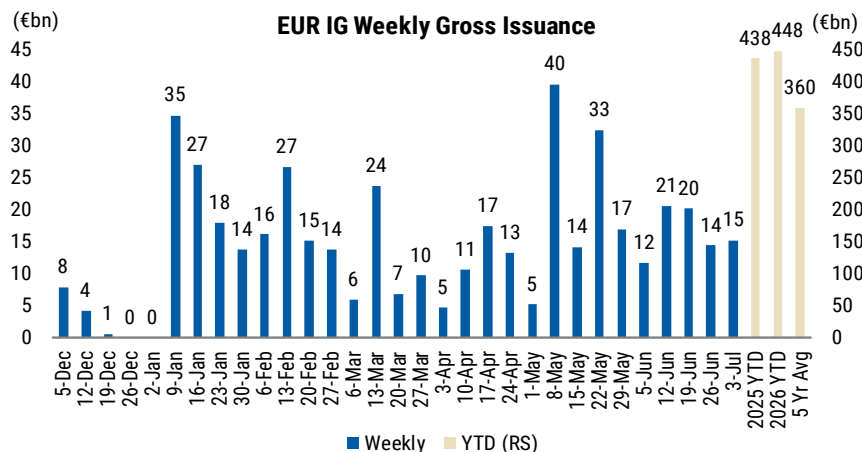
Global Credit Supply



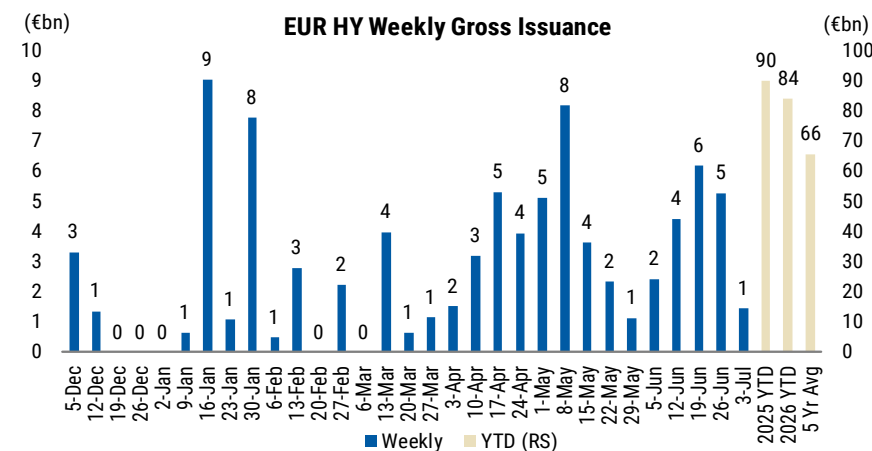
Source: Dealogic, Morgan Stanley Research; Note: Excludes tranches <\$100MM



Source: Morgan Stanley Research, PitchBook | LCD

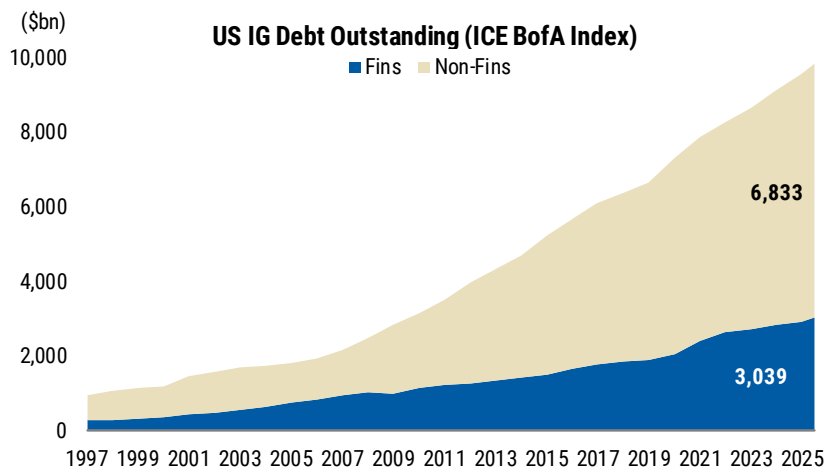


Source: Bond Radar, Morgan Stanley Research

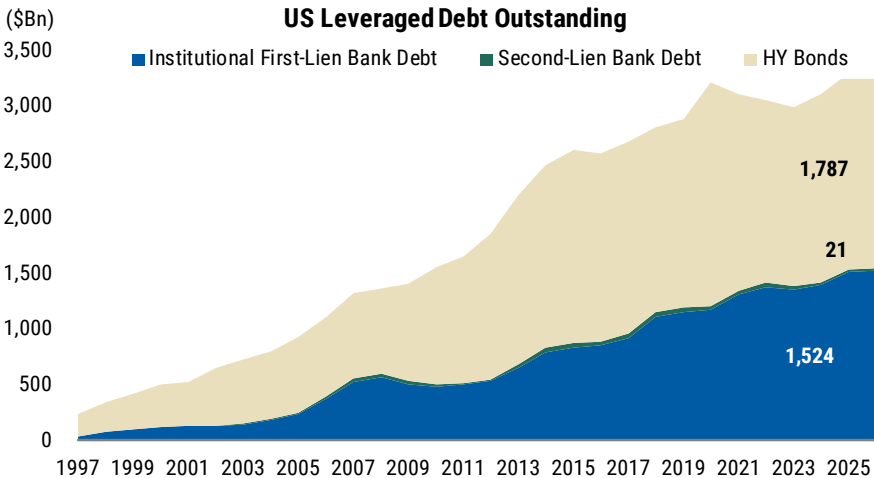


Source: Bond Radar, Morgan Stanley Research

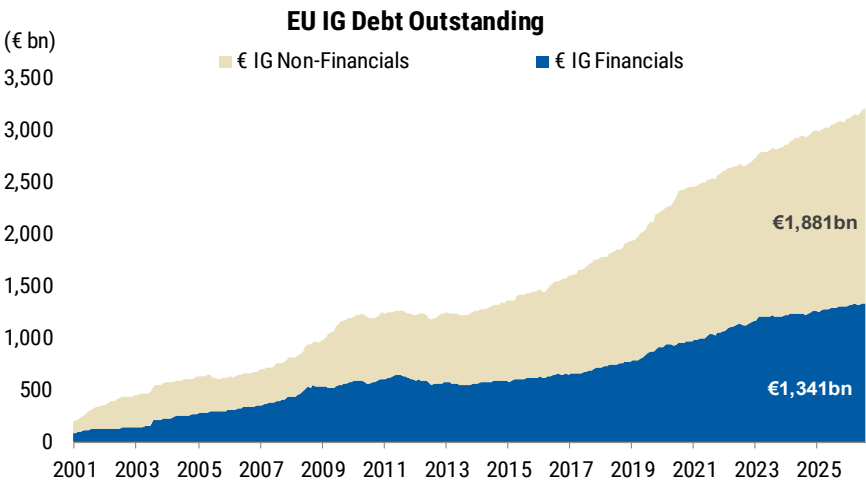
Debt Outstanding



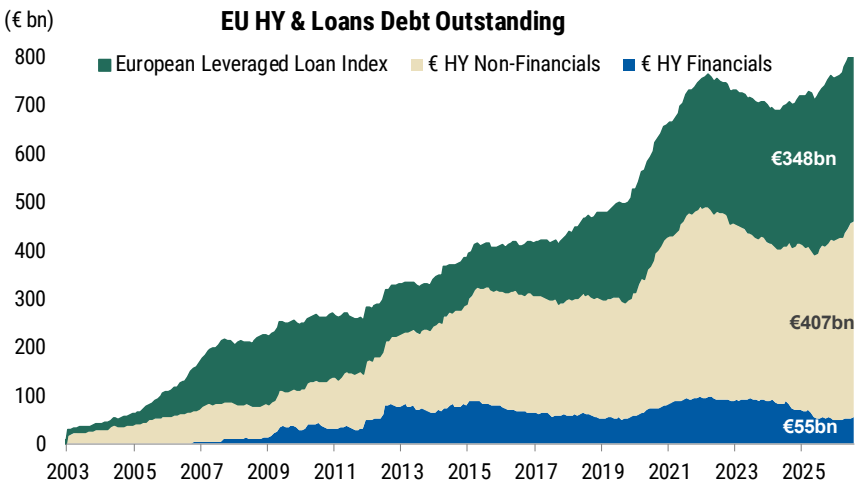
Source: ICE, Morgan Stanley Research. Note: Data as of May 31, 2026



Source: PitchBook | LCD, Morgan Stanley Research. Note: Data as of May 31, 2026

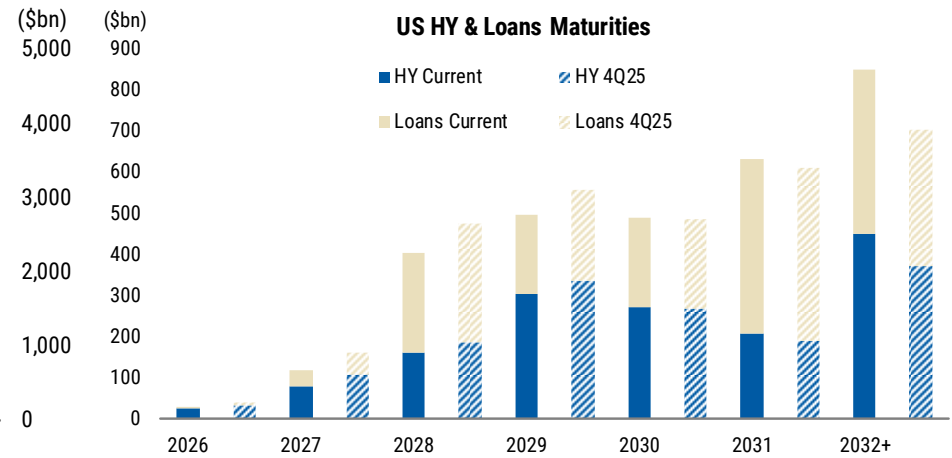
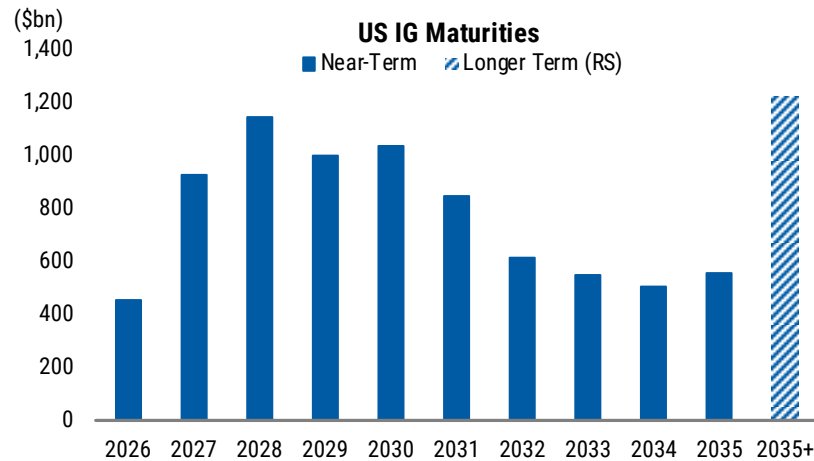


Source: ICE, IHS Markit, Bloomberg, Morgan Stanley Research. Note: Data as of May 31, 2026

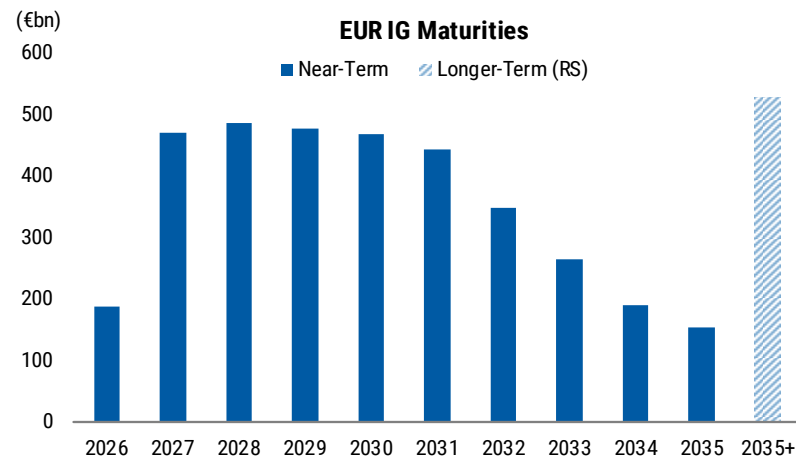


Source: IHS Markit, Bloomberg, PitchBook | LCD, Morgan Stanley Research. Note: Data as of May 31, 2026

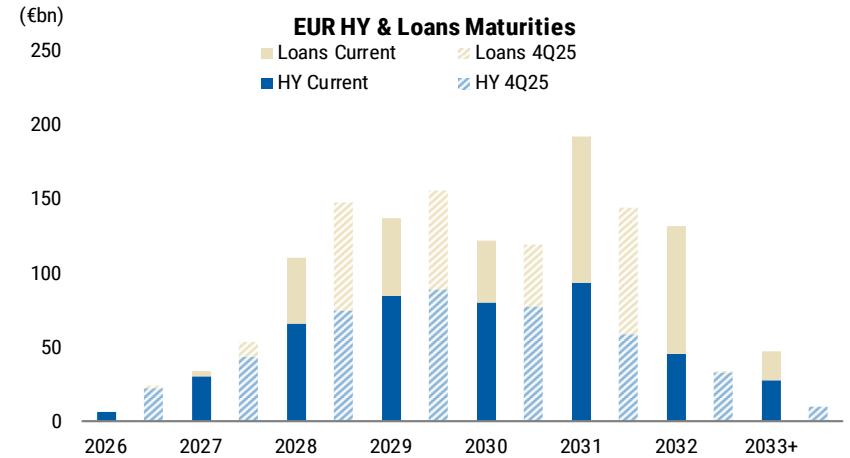
Maturity Walls



Source: Bloomberg, Morgan Stanley Research



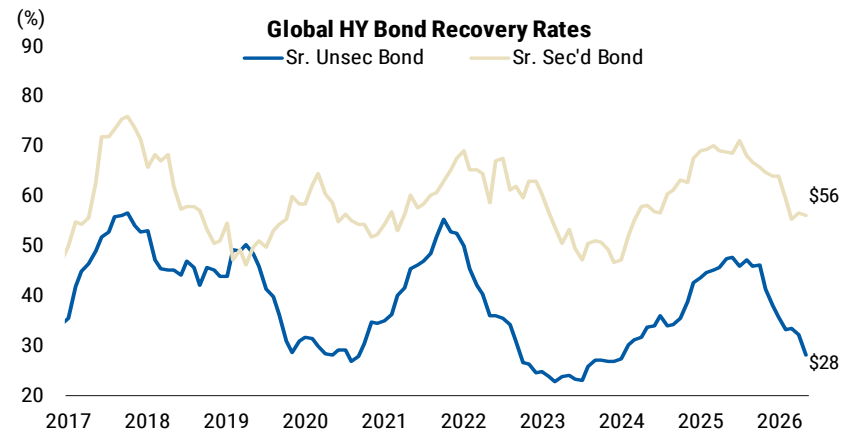
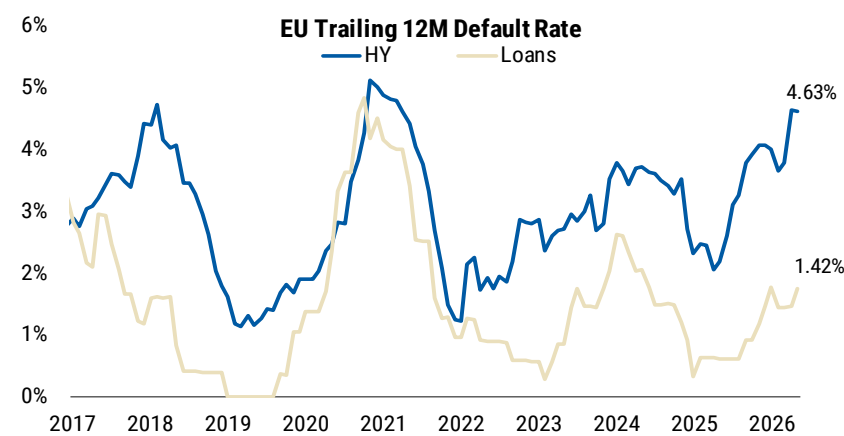
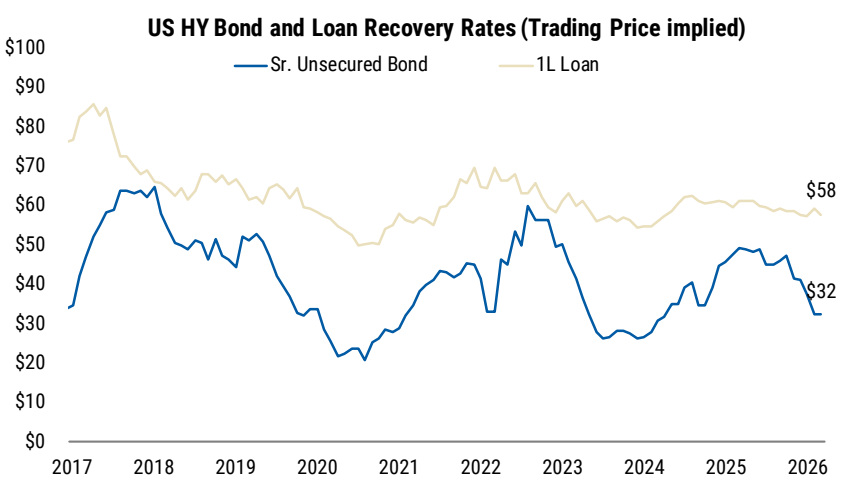
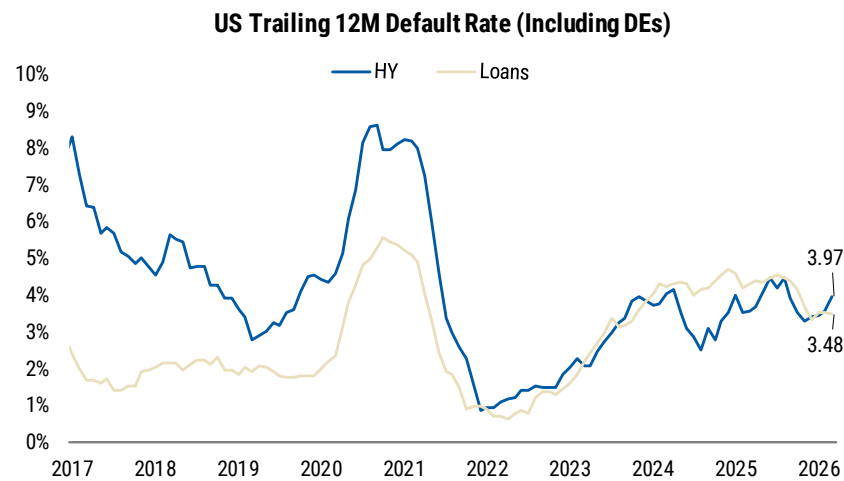
Source: ICE, PitchBook | LCD, Morgan Stanley Research



Source: ICE, Bloomberg, PitchBook | LCD, Morgan Stanley Research

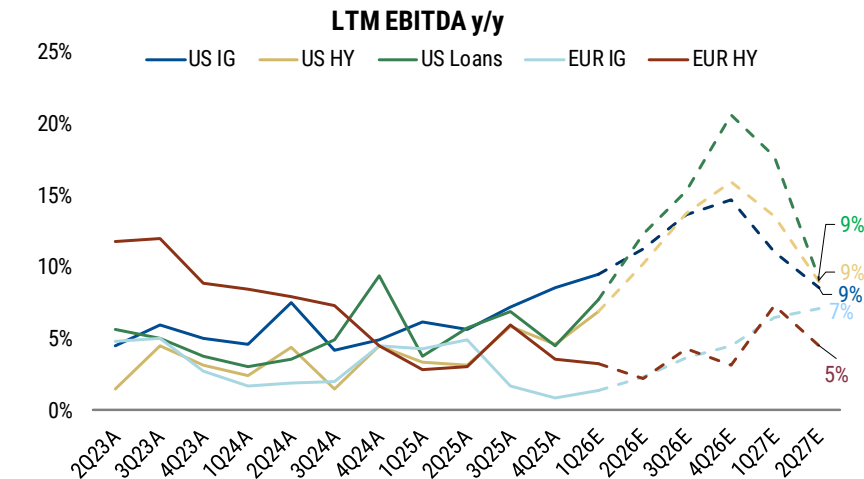
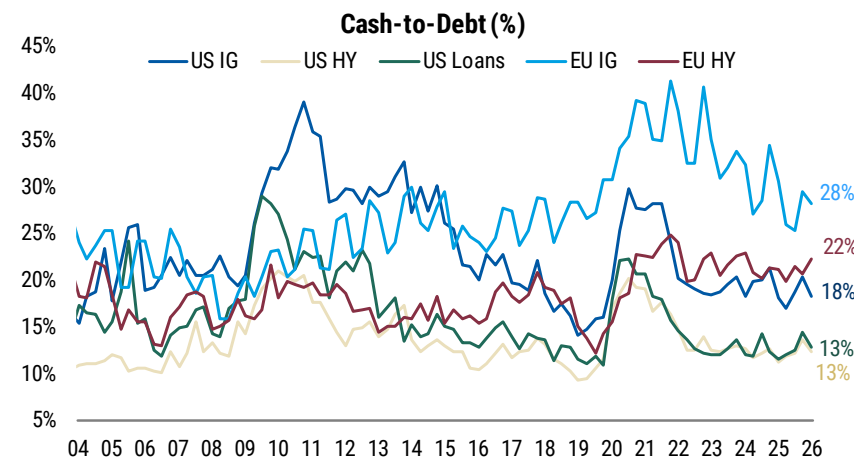
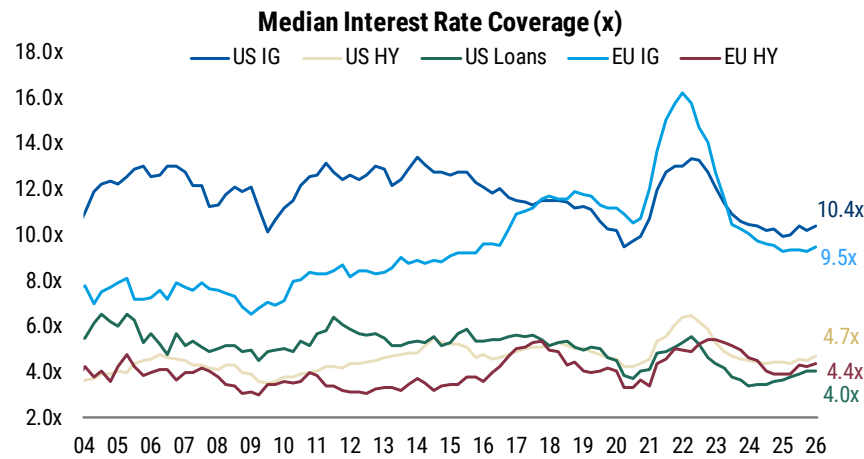
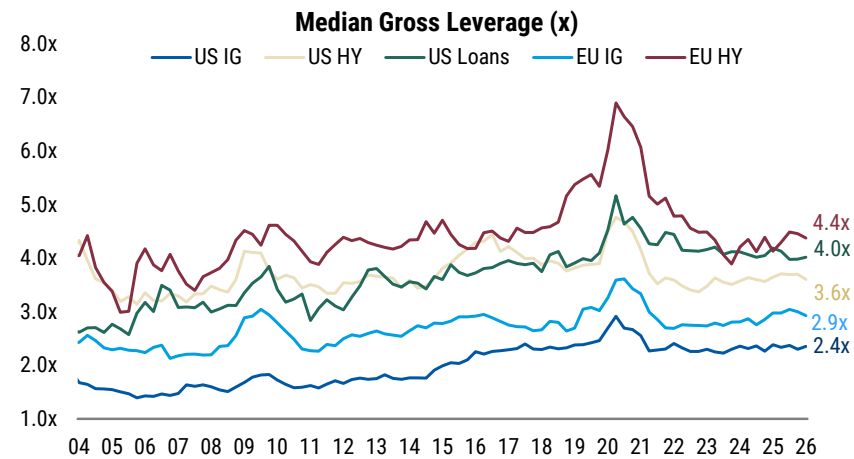
Source: ICE, Bloomberg, PitchBook | LCD, Morgan Stanley Research; Note: Loans Data as of June 2026.

Default and Rating Changes



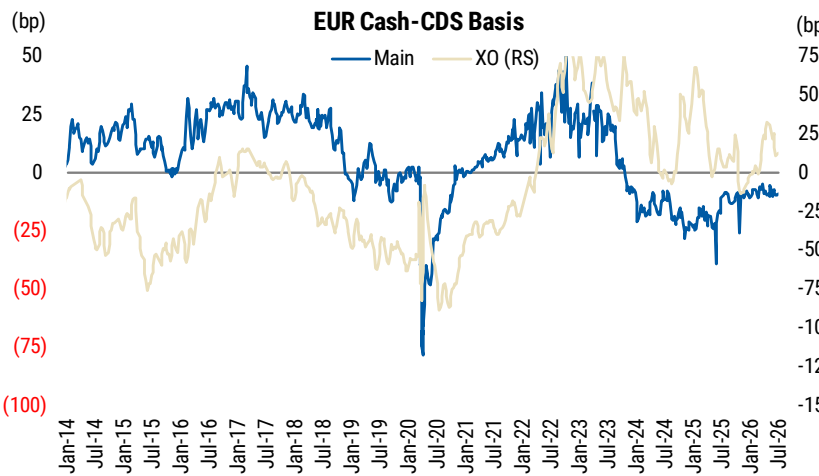
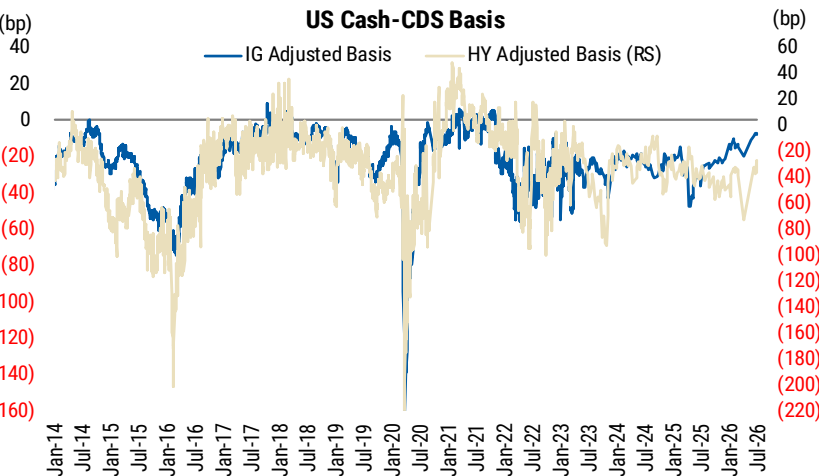
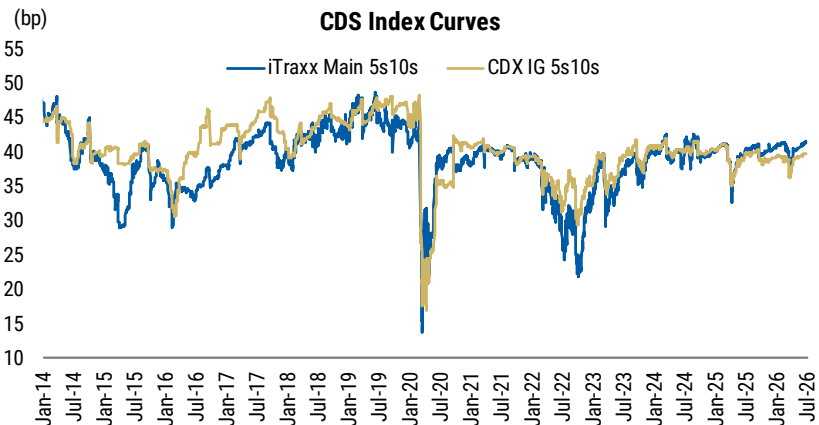
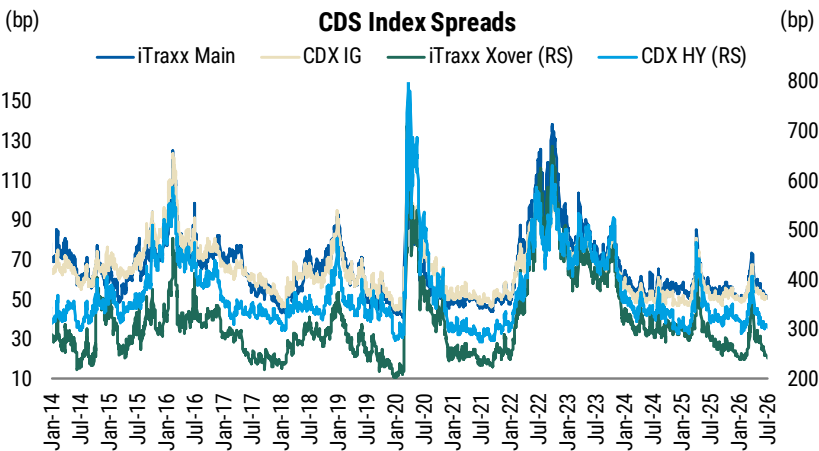
Source: Moody's, PitchBook | LCD, Morgan Stanley Research

Fundamentals



Source: FactSet, Bloomberg, S&P Capital IQ, company data, Morgan Stanley Research. Note: LTM EBITDA y/y figures show Bloomberg consensus from 1Q26.

Credit Derivatives

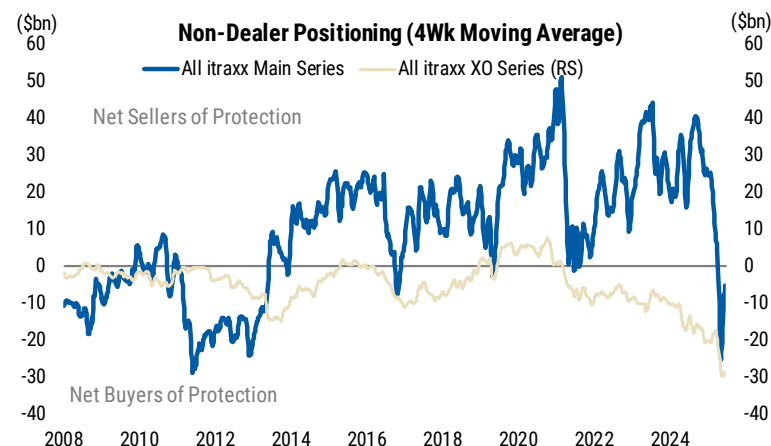
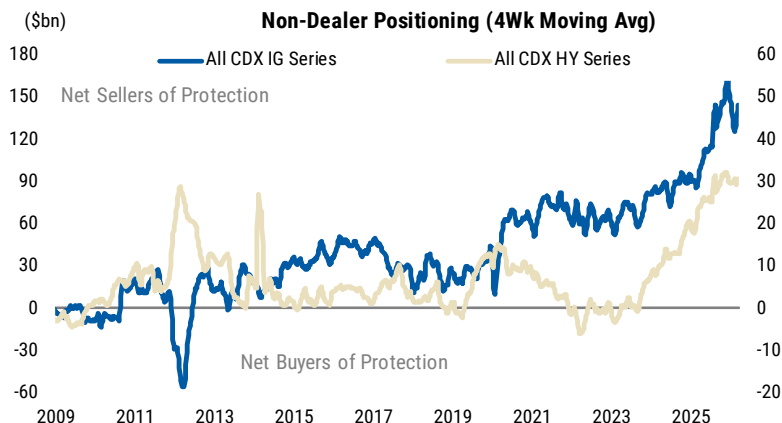


Source: IHS Markit, Bloomberg, Morgan Stanley Research

Non-Dealer CDS Positioning

Net Positioning (\$bn)	Change				Percentile	1Y	2Y	5Y
	Current	1W	2W	1M				
IG41	1.1	-0.1	-0.1	-1.1				
IG42	1.2	0.0	0.0	0.2				
IG43	0.7	0.0	-0.2	0.2				
IG44	1.9	-0.5	-1.4	-0.2				
IG45	43.1	-7.4	-5.9	-6.5				
IG46	94.2	6.4	16.8	20.3				
All CDX IG	150.3	-1.5	9.9	14.3	69%	83%	91%	97%
HY41	2.6	0.0	-0.1	-0.4				
HY42	2.3	0.0	0.0	0.2				
HY43	0.4	-0.1	-0.1	-0.1				
HY44	0.5	0.0	0.2	0.0				
HY45	9.1	-1.9	-1.8	-1.4				
HY46	14.1	0.7	0.9	4.4				
All CDX HY	30.8	-1.4	-0.7	3.0	62%	79%	89%	96%

Net Positioning (\$bn)	Change				Percentile	1Y	2Y	5Y
	Current	1-Wk	2-Wk	1/M				
Main40	-1.2	-0.4	-1.0	-1.7				
Main41	1.7	0.4	0.3	0.8				
Main42	-1.7	0.1	0.1	-0.2				
Main43	2.4	-0.1	-0.2	0.1				
Main44	8.9	-1.3	1.6	0.8				
Main45	-4.3	-1.9	-6.2	7.2				
All Main Series	-8.2	-2.7	-5.4	7.2	23%	12%	6%	2%
XO40	-2.8	0.2	0.4	0.3				
XO41	-1.6	-0.2	-0.3	-0.3				
XO42	-3.3	-0.2	0.0	0.4				
XO43	0.9	0.1	0.0	0.0				
XO44	-18.0	0.3	-0.4	-1.1				
XO45	-3.1	-0.5	1.9	-0.5				
All XO Series	-30.3	-0.9	0.4	-2.4	12%	6%	3%	1%



US IG – Best + Worst Performing Single As

Best Performing 3-10y Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	AAL	3.150	15/02/32	Consumer, Cyclical	AA- / A2 / NR	52	(19)	(33)
2	UAL	3.500	01/03/30	Consumer, Cyclical	NR / Aa2 / A+	60	(16)	(40)
3	SANTAN	5.538	14/03/30	Financial	A- / Baa1 / A	62	(12)	(18)
4	ACGL	7.350	01/05/34	Financial	A / A3 / A-	80	(12)	(19)
5	SANTAN	5.565	17/01/30	Financial	A- / Baa1 / A	63	(11)	(15)
6	EIX	2.250	01/06/30	Utilities	BBB+ / A2 / A-	70	(11)	(20)
7	FE	4.550	15/03/31	Utilities	A- / A3 / A	50	(10)	n/a
8	OGE	3.250	01/04/30	Utilities	A- / A3 / A	43	(10)	(19)
9	EIX	2.850	01/08/29	Utilities	BBB+ / A2 / A-	62	(10)	(20)
10	TEL	4.500	09/02/31	Industrial	A- / A3 / A-	41	(9)	(9)

Best Performing 10Y+ Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	CMCSA	4.450	15/01/43	Communications	A- / A3 / A-	88	(26)	(26)
2	CMCSA	5.950	01/04/41	Communications	A- / A3 / A-	80	(22)	(39)
3	TOLHOS	5.750	15/11/38	Consumer, Non-cyclical	AA / A1 / NR	18	(17)	(28)
4	BFB	4.000	15/04/38	Consumer, Non-cyclical	A- / A2 / NR	69	(13)	(8)
5	CMCSA	6.400	30/04/40	Communications	A- / A3 / A-	88	(12)	(18)
6	MEDHEA	3.626	15/08/49	Consumer, Non-cyclical	A / A2 / NR	76	(12)	(13)
7	MRK	5.750	15/11/36	Consumer, Non-cyclical	A+ / Aa3 / NR	47	(10)	(19)
8	ROK	4.200	01/03/49	Industrial	A- / A3 / A	55	(10)	(9)
9	AVA	4.350	01/06/48	Utilities	A- / A3 / NR	82	(9)	(13)
10	ONCRX	4.600	01/06/52	Utilities	A / A2 / A	81	(9)	(10)

Worst Performing 3-10y Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	CMCSA	5.300	01/06/34	Communications	A- / A3 / A-	101	30	21
2	CMCSA	6.500	15/11/35	Communications	A- / A3 / A-	111	27	17
3	CMCSA	4.400	15/08/35	Communications	A- / A3 / A-	101	27	18
4	CMCSA	5.650	15/06/35	Communications	A- / A3 / A-	106	26	17
5	CMCSA	4.200	15/08/34	Communications	A- / A3 / A-	96	24	21
6	CMCSA	5.300	15/05/35	Communications	A- / A3 / A-	88	23	3
7	CMCSA	4.650	15/02/33	Communications	A- / A3 / A-	80	22	16
8	CMCSA	4.250	15/01/33	Communications	A- / A3 / A-	87	22	17
9	CMCSA	4.800	15/05/33	Communications	A- / A3 / A-	81	20	14
10	CMCSA	3.400	01/04/30	Communications	A- / A3 / A-	59	20	9

Worst Performing 10Y+ Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	CMCSA	5.500	15/05/64	Communications	A- / A3 / A-	166	34	26
2	CMCSA	4.750	01/03/44	Communications	A- / A3 / A-	141	34	23
3	CMCSA	3.969	01/11/47	Communications	A- / A3 / A-	147	33	25
4	CMCSA	6.050	15/05/55	Communications	A- / A3 / A-	148	32	18
5	CMCSA	2.937	01/11/56	Communications	A- / A3 / A-	141	29	19
6	CMCSA	4.000	15/08/47	Communications	A- / A3 / A-	145	29	24
7	CMCSA	4.650	15/07/42	Communications	A- / A3 / A-	139	29	23
8	CMCSA	4.600	15/08/45	Communications	A- / A3 / A-	135	29	24
9	CMCSA	2.887	01/11/51	Communications	A- / A3 / A-	137	28	17
10	CMCSA	3.400	15/07/46	Communications	A- / A3 / A-	135	27	17

US IG – Best + Worst Performing BBBs

Best Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	FLO	2.400	15/03/31	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	139	(31)	17
2	CPB	5.400	21/03/34	Consumer, Non-cyclical	BBB- / Baa2 / BBB-	126	(26)	18
3	SSB	7.000	13/06/35	Financial	NR / Baa3 / NR	156	(24)	(51)
4	OLHSNL	2.510	15/05/31	Consumer, Non-cyclical	BBB- / NR / NR	159	(24)	(28)
5	NMIH	6.000	15/08/29	Financial	NR / Baa3 / BBB	89	(24)	(32)
6	FRBP	6.000	02/10/30	Financial	NR / Baa3 / BBB-	266	(22)	16
7	SFNC	6.250	01/10/35	Financial	NR / Baa2 / NR	186	(22)	(47)
8	CPB	4.750	23/03/35	Consumer, Non-cyclical	BBB- / Baa2 / BBB-	129	(21)	19
9	TRIN	7.000	21/05/31	Financial	NR / Baa3 / NR	245	(21)	n/a
10	CPB	4.550	21/03/31	Consumer, Non-cyclical	BBB- / Baa2 / BBB-	94	(21)	6

Best Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	AIG	5.750	01/04/48	Financial	BBB / Baa2 / BBB	89	(72)	(67)
2	PRU	4.500	15/09/47	Financial	BBB+ / Baa1 / BBB	153	(46)	(16)
3	MSINAI	3.737	01/07/49	Consumer, Non-cyclical	BBB / Baa3 / NR	124	(44)	(30)
4	FLO	6.200	15/03/55	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	251	(39)	62
5	FDX	4.750	15/11/45	Industrial	BBB / Baa2 / NR	66	(35)	(62)
6	FDX	3.875	01/08/42	Industrial	BBB / Baa2 / NR	61	(34)	(55)
7	CMS	3.750	01/12/50	Utilities	BBB- / Baa3 / BB+	139	(34)	(49)
8	NWN	7.000	15/09/55	Utilities	BBB / NR / NR	195	(33)	(37)
9	FDX	4.400	15/01/47	Industrial	BBB / Baa2 / NR	64	(29)	(52)
10	FDX	4.100	15/04/43	Industrial	BBB / Baa2 / NR	62	(29)	(56)

Worst Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	QRVO	4.375	15/10/29	Technology	BBB- / Ba1 / BBB+	132	56	30
2	CNXC	6.850	02/08/33	Technology	BBB- / Baa3 / BBB	461	42	207
3	BAH	5.950	04/08/33	Technology	BBB- / Baa3 / NR	145	24	19
4	KD	6.350	20/02/34	Technology	BBB- / Baa3 / BBB	297	22	158
5	OWL	6.250	18/04/34	Financial	BBB / NR / BBB+	224	22	52
6	ORCL	5.200	26/09/35	Technology	BBB / Baa2 / BBB	169	22	9
7	ORCL	4.700	27/09/34	Technology	BBB / Baa2 / BBB	165	21	(3)
8	ORCL	4.900	06/02/33	Technology	BBB / Baa2 / BBB	154	20	(5)
9	ORCL	3.900	15/05/35	Technology	BBB / Baa2 / BBB	173	20	5
10	ORCL	5.700	04/02/36	Technology	BBB / Baa2 / BBB	170	19	n/a

Worst Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	BHF	4.700	22/06/47	Financial	BBB / Baa3 / BBB-	283	49	47
2	BHF	3.850	22/12/51	Financial	BBB / Baa3 / BBB-	272	42	25
3	ORCL	6.125	03/08/65	Technology	BBB / Baa2 / BBB	250	30	30
4	ORCL	6.850	04/02/66	Technology	BBB / Baa2 / BBB	250	30	n/a
5	ORCL	4.100	25/03/61	Technology	BBB / Baa2 / BBB	219	29	26
6	ORCL	6.100	26/09/65	Technology	BBB / Baa2 / BBB	249	28	31
7	ORCL	6.900	09/11/52	Technology	BBB / Baa2 / BBB	237	28	14
8	ORCL	5.550	06/02/53	Technology	BBB / Baa2 / BBB	230	27	15
9	ORCL	5.950	26/09/55	Technology	BBB / Baa2 / BBB	227	27	22
10	ORCL	6.125	08/07/39	Technology	BBB / Baa2 / BBB	196	27	3

US IG – Best + Worst Performing Bonds by Sector

Best Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	FCX	5.000	01/09/27	Basic Materials	BBB- / Baa2 / BBB	50	(13)	90
2	MOS	4.050	15/11/27	Basic Materials	BBB / Baa2 / BBB	35	(12)	(14)
3	PPG	2.800	15/08/29	Basic Materials	BBB+ / A3 / BBB+	40	(12)	(16)
Communications								
1	CMCSA	4.450	15/01/43	Communications	A- / A3 / A-	88	(26)	(26)
2	CMCSA	5.950	01/04/41	Communications	A- / A3 / A-	80	(22)	(39)
3	CMCSA	6.400	30/04/40	Communications	A- / A3 / A-	88	(12)	(18)
Consumer, Cyclical								
1	AAL	3.600	22/09/27	Consumer, Cyclical	A+ / A2 / NR	72	(45)	(37)
2	UAL	3.100	07/07/28	Consumer, Cyclical	NR / Aa3 / A	41	(28)	(47)
3	PIL	6.950	15/03/29	Consumer, Cyclical	BBB- / Baa3 / BBB-	82	(28)	(46)
Consumer, Non-cyclical								
1	MSINA	3.737	01/07/49	Consumer, Non-cyclical	BBB / Baa3 / NR	124	(44)	(30)
2	FLO	6.200	15/03/55	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	251	(39)	62
3	FLO	2.400	15/03/31	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	139	(31)	17
Energy								
1	DINO	5.000	2/1/2028	Energy	BBB- / Baa3 / BBB-	35	(43)	(27)
2	BWP	4.450	7/15/2027	Energy	BBB / Baa2 / BBB	33	(27)	(29)
3	TRPCN	7.000	6/1/2065	Energy	BBB- / Baa3 / BBB-	170	(27)	(68)
Financial								
1	AIG	5.750	01/04/48	Financial	BBB / Baa2 / BBB	89	(72)	(67)
2	GSCRED	5.875	06/05/28	Financial	NR / NR / BBB-	129	(49)	n/a
3	PRU	4.500	15/09/47	Financial	BBB+ / Baa1 / BBB	153	(46)	(16)
Industrial								
1	FDX	4.750	15/11/45	Industrial	BBB / Baa2 / NR	66	(35)	(62)
2	FDX	3.875	01/08/42	Industrial	BBB / Baa2 / NR	61	(34)	(55)
3	FDX	4.400	15/01/47	Industrial	BBB / Baa2 / NR	64	(29)	(52)
Technology								
1	DXC	2.375	15/09/28	Technology	BBB- / Baa3 / BBB-	100	(27)	(10)
2	FISV	4.400	01/07/49	Technology	BBB / Baa2 / NR	108	(26)	(23)
3	CNXC	6.600	02/08/28	Technology	BBB- / Baa3 / BBB	251	(22)	84
Utilities								
1	CMS	3.750	01/12/50	Utilities	BBB- / Baa3 / BB+	139	(34)	(49)
2	NWN	7.000	15/09/55	Utilities	BBB / NR / NR	195	(33)	(37)
3	AES	5.450	01/06/28	Utilities	BBB- / Baa3 / BBB-	60	(25)	(26)

Worst Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	ANGSJ	3.750	01/10/30	Basic Materials	BBB- / Baa3 / BBB-	92	19	(9)
2	IP	5.150	15/05/46	Basic Materials	BBB / Baa2 / NR	117	18	12
3	ABXCN	5.250	01/04/42	Basic Materials	BBB+ / A3 / NR	78	17	(1)
Communications								
1	VRSN	4.750	15/07/27	Communications	BBB / Baa2 / NR	106	48	23
2	CMCSA	5.500	15/05/64	Communications	A- / A3 / A-	166	34	26
3	CMCSA	4.750	01/03/44	Communications	A- / A3 / A-	141	34	23
Consumer, Cyclical								
1	F	7.400	01/11/46	Consumer, Cyclical	BBB- / Ba1 / BBB-	210	20	11
2	SANLTD	3.250	08/08/31	Consumer, Cyclical	BBB / Baa2 / BBB	107	19	(1)
3	SANLTD	4.375	18/06/30	Consumer, Cyclical	BBB / Baa2 / BBB	106	19	0
Consumer, Non-cyclical								
1	TSN	5.100	28/09/48	Consumer, Non-cyclical	BBB / Baa2 / BBB	93	19	2
2	TSN	4.550	02/06/47	Consumer, Non-cyclical	BBB / Baa2 / BBB	86	12	(1)
3	BAPTST	3.115	15/11/71	Consumer, Non-cyclical	AA- / Aa3 / NR	93	12	16
Energy								
1	RDSALN	4.125	5/11/2035	Energy	A+ / Aa2 / AA-	52	55	42
2	DVN	5.875	15/06/28	Energy	BBB+ / Baa2 / BBB+	88	37	132
3	NOV	3.950	01/12/42	Energy	BBB / Baa2 / NR	113	21	(15)
Financial								
1	BHF	4.700	22/06/47	Financial	BBB / Baa3 / BBB-	283	49	47
2	BHF	3.850	22/12/51	Financial	BBB / Baa3 / BBB-	272	42	25
3	OWL	6.250	18/04/34	Financial	BBB / NR / BBB+	224	22	52
Industrial								
1	CAT	5.300	15/09/35	Industrial	A / A1 / A+	49	15	(5)
2	SNX	6.100	12/04/34	Industrial	BBB- / Baa3 / BBB-	111	14	(10)
3	DOV	5.375	15/10/35	Industrial	BBB+ / Baa1 / NR	59	14	(7)
Technology								
1	QRVO	4.375	15/10/29	Technology	BBB- / Ba1 / BBB+	132	56	30
2	CNXC	6.500	01/03/29	Technology	BBB- / Baa3 / BBB	356	42	n/a
3	CNXC	6.850	02/08/33	Technology	BBB- / Baa3 / BBB	461	42	207
Utilities								
1	NEE	5.950	01/02/38	Utilities	A+ / Aa2 / AA-	75	10	5
2	EVRG	5.300	01/10/41	Utilities	A / A2 / NR	76	9	(1)
3	NEE	6.500	15/08/55	Utilities	BBB / Baa2 / BBB	168	9	2

EUR IG – Best + Worst Performing Single As

Best Performing 3-10y Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
1	BMW	3.750	11/20/34	Auto Manufacturers	A/A2/NR	(13.5)	(10.1)
2	BMW	3.375	8/27/34	Auto Manufacturers	A/A2/NR	(11.0)	(4.0)
3	MBGGR	1.125	8/8/34	Auto Manufacturers	A/A2/NR	(10.8)	(11.3)
4	VW	3.500	6/19/31	Auto Manufacturers	BBB+/A1/A-	(10.6)	(3.5)
5	HNDA	3.950	3/19/32	Auto Manufacturers	BBB+/A3/A-	(10.5)	(9.8)
6	MBGGR	3.250	11/15/30	Auto Manufacturers	A/A2/NR	(9.1)	(3.7)
7	NAB	3.612	1/22/36	Banks	A-/A3/NR	(9.0)	n/a
8	BMW	3.375	2/2/34	Auto Manufacturers	A/A2/NR	(8.9)	(8.1)
9	CMCSA	3.250	9/26/32	Media	A-/A3/A-	(8.6)	(5.3)
10	MBGGR	3.125	9/5/31	Auto Manufacturers	A/A2/NR	(8.5)	(14.5)

Best Performing 10Y+ Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
1	MBGGR	2.125	7/3/37	Auto Manufacturers	A/A2/NR	(10.5)	(9.8)
2	MOTOPG	4.000	1/22/37	Commercial Services	A-/A3/NR	(8.4)	(7.7)
3	CMCSA	3.550	9/26/36	Media	A-/A3/A-	(8.0)	(0.7)
4	ANZ	4.145	5/14/38	Banks	A-/A3/A-	(7.9)	n/a
5	CBAAU	3.788	8/26/37	Banks	A-/A2/A	(6.1)	(0.4)
6	AIRFP	2.375	6/9/40	Aerospace/Defense	A+/A1/NR	(5.7)	2.5
7	RBOSGR	4.000	5/28/37	Auto Parts&Equipment	A/NR/A	(5.4)	(3.0)
8	ETN	4.000	3/10/38	Machinery-Constr&Mining	A-/A3/NR	(4.4)	n/a
9	DHR	4.000	4/29/38	Healthcare-Products	A-/A2/NR	(4.4)	n/a
10	ENXFP	1.500	5/17/41	Diversified Finan Serv	A-/NR/NR	(4.2)	(15.4)

Worst Performing 3-10y Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
1	CKHGTH	1.500	10/17/31	Telecommunications	A-/Baa1/A	23.0	27.5
2	SGROLN	0.500	9/22/31	REITS	NR/NR/A-	21.6	9.0
3	SGROLN	1.875	3/23/30	REITS	NR/NR/A-	14.4	(8.1)
4	GIM	2.429	7/14/31	Insurance	NR/A3/A-	13.9	8.1
5	DT	1.750	3/25/31	Telecommunications	A-/A3/A-	13.9	18.0
6	LIFP	1.625	12/13/32	REITS	A-/NR/A	13.4	(4.9)
7	GS	3.000	2/12/31	Banks	BBB+/A2/A	12.8	37.0
8	SIKASW	1.500	4/29/31	Building Materials	A-/NR/NR	11.7	16.3
9	WURTH	3.000	8/28/31	Distribution/Wholesale	A/NR/NR	10.9	22.7
10	BASGR	1.500	5/22/30	Chemicals	A-/A3/A	10.8	6.5

Worst Performing 10Y+ Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
1	HBANSW	3.375	9/29/47	Insurance	A-/NR/NR	22.1	20.8
2	GOTVER	5.000	6/20/45	Insurance	A-/NR/NR	17.0	20.9
3	AXASA	1.375	10/7/41	Insurance	A/A1/NR	13.7	11.5
4	MUNRE	3.250	5/26/49	Insurance	NR/A1/A	13.2	(0.0)
5	HANRUE	1.375	6/30/42	Insurance	A/NR/A-	13.0	6.7
6	TALANX	2.250	12/5/47	Insurance	A/NR/NR	12.2	(1.0)
7	PLD	1.000	2/16/41	REITS	A/A2/NR	11.9	12.9
8	ALVGR	1.301	9/25/49	Insurance	A+/A1/A	10.8	10.0
9	HANRUE	5.875	8/26/43	Insurance	A/NR/NR	10.6	11.3
10	GIM	5.000	6/8/48	Insurance	NR/A3/A-	10.5	(9.6)

EUR IG – Best + Worst Performing BBBs

Best Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change	YTD Spread Change
1	ERSTBK	0.875	15/11/32	Banks	BBB+/Baa1/BBB+	(42.5)	(27.8)
2	DCCLN	4.375	27/06/31	Oil&Gas	BBB-/NR/BBB	(25.0)	(20.3)
3	CZGRPA	5.250	10/01/31	Aerospace/Defense	BB+/Baa3/BBB-	(24.3)	(15.6)
4	RBIIV	1.375	17/06/33	Banks	NR/Baa2/NR	(23.5)	(18.2)
5	STLA	3.750	19/03/36	Auto Manufacturers	BBB-/Baa3/NR	(22.5)	(40.8)
6	UCAJLN	3.125	19/07/32	Banks	NR/NR/BBB-	(22.3)	3.6
7	VW	4.750	25/09/31	Auto Manufacturers	BBB+/A1/NR	(18.5)	(17.8)
8	ICPLN	2.500	28/01/30	Private Equity	BBB-/NR/BBB+	(17.5)	(2.8)
9	ALTRDA	4.429	23/06/32	Commercial Services	BBB-/NR/NR	(15.8)	4.7
10	STLA	4.000	19/03/34	Auto Manufacturers	BBB-/Baa3/NR	(15.1)	(24.2)

Best Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change	YTD Spread Change
1	MRKGR	3.750	24/11/55	Pharmaceuticals	BBB+/Baa2/NR	(25.7)	(24.3)
2	ONCRTX	4.550	26/11/56	Electric	BBB/Baa2/BBB	(23.0)	n/a
3	VZ	4.246	15/08/56	Telecommunications	BBB-/Baa2/BBB	(22.4)	n/a
4	JAPTOB	3.870	04/09/55	Agriculture	BBB+/A3/NR	(21.6)	(20.3)
5	VZ	3.996	15/06/56	Telecommunications	BBB-/Baa2/BBB	(18.8)	(15.6)
6	NEE	4.200	26/02/56	Electric	BBB/Baa2/BBB	(17.0)	n/a
7	AMPRI	4.250	28/04/56	Electric	NR/Baa3/BBB	(16.3)	n/a
8	NEE	3.996	15/05/56	Electric	BBB/Baa2/BBB	(16.1)	(9.6)
9	CRELAN	4.000	30/04/37	Banks	NR/Baa2/NR	(16.0)	n/a
10	NEE	4.496	15/05/56	Electric	BBB/Baa2/BBB	(15.4)	(14.1)

Worst Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change	YTD Spread Change
1	ANESM	1.375	26/01/32	Energy-Alternate Sources	NR/NR/BBB-	100.3	81.6
2	SKFBSS	0.875	15/11/29	Metal Fabricate/Hardware	NR/Baa1/BBB+	84.2	40.2
3	SKFBSS	0.250	15/02/31	Metal Fabricate/Hardware	NR/Baa1/BBB+	83.7	8.9
4	NEXIIM	3.875	21/05/31	Commercial Services	BBB-/NR/BBB-	37.6	42.1
5	ATHORA	5.375	31/08/32	Insurance	NR/NR/BBB	36.7	39.3
6	ATHORA	5.875	10/09/34	Insurance	NR/NR/BBB	34.7	10.3
7	DXC	0.950	15/09/31	Computers	BBB-/Baa3/BBB-	24.9	(19.0)
8	CCL	4.125	15/07/31	Leisure Time	BBB-/Ba1/BBB-	24.9	3.3
9	SUPERN	5.000	24/06/30	Real Estate	NR/NR/BBB-	24.3	37.2
10	CCL	5.750	15/01/30	Leisure Time	BBB-/Ba1/BBB-	23.6	21.5

Worst Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change	YTD Spread Change
1	ACAF	2.625	29/01/48	Insurance	BBB+/NR/NR	24.9	23.1
2	SAMPFH	2.500	03/09/52	Insurance	BBB+/A3/NR	21.4	15.1
3	JABHOL	2.250	19/12/39	Investment Companies	BBB/Baa1/NR	21.1	24.3
4	ACAF	4.750	27/09/48	Insurance	BBB+/NR/NR	16.0	7.0
5	ACHMEA	5.625	02/11/44	Insurance	BBB-/NR/BBB	15.3	23.4
6	ASRNED	3.375	02/05/49	Insurance	BBB-/NR/NR	11.7	7.3
7	UQA	2.375	09/12/41	Insurance	BBB+/NR/NR	11.0	15.9
8	AVLN	4.625	28/08/56	Insurance	NR/A3/BBB+	11.0	7.1
9	LGEN	4.375	04/09/55	Insurance	NR/A3/BBB+	10.9	(11.1)
10	SRENVX	2.714	04/06/52	Insurance	BBB+/A3/NR	10.8	6.0

EUR IG – Best + Worst Performing Bonds by Sector

Best Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials							
1	EVKGR	4.250	9/9/55	Basic Materials	BBB-/Baa3/NR	(8.4)	8.5
2	AKZANA	4.625	3/25/36	Basic Materials	BBB-/Baa3/NR	(6.3)	n/a
3	AKZANA	1.625	4/14/30	Basic Materials	BBB-/Baa3/NR	(5.1)	2.6
Communications							
1	VZ	3.996	6/15/56	Communications	BBB-/Baa2/BBB	(18.8)	(15.6)
2	NTT	0.342	3/3/30	Communications	BBB+/A3/NR	(10.9)	(13.0)
3	PRXNA	2.085	1/19/30	Communications	BBB-/Baa2/NR	(10.1)	(10.3)
Consumer, Cyclical							
1	STLA	3.750	3/19/36	Consumer, Cyclical	BBB-/Baa3/NR	(22.5)	(40.8)
2	VW	4.375	1/0/00	Consumer, Cyclical	BBB-/Baa3/BBB	(22.5)	(14.0)
3	VW	3.748	1/0/00	Consumer, Cyclical	BBB-/Baa3/BBB	(21.2)	29.4
Consumer, Non-cyclical							
1	JAPTOB	3.870	9/4/55	Consumer, Non-cyclical	BBB+/A3/NR	(21.6)	(20.3)
2	ALTRDA	4.429	6/23/32	Consumer, Non-cyclical	BBB-/NR/NR	(15.8)	4.7
3	BNFP	3.950	1/0/00	Consumer, Non-cyclical	BBB-/Baa3/NR	(10.6)	(12.0)
Energy							
1	TTEFP	3.790	1/0/00	Energy	A-/A2/NR	(15.0)	n/a
2	ENIIM	4.125	1/0/00	Energy	BBB-/Baa2/BBB	(13.7)	n/a
3	REPSM	4.197	1/0/00	Energy	BBB-/Baa3/BBB-	(12.4)	(6.8)
Financial							
1	ERSTBK	0.875	11/15/32	Financial	BBB+/Baa1/BBB+	(42.5)	(27.8)
2	HEMSOF	4.200	2/18/58	Financial	NR/Baa1/A	(33.2)	n/a
3	RBIIV	1.375	6/17/33	Financial	NR/Baa2/NR	(23.5)	(18.2)
Industrial							
1	WIEAV	4.875	10/4/28	Industrial	NR/Baa3/NR	(16.5)	(27.5)
2	FDX	0.450	5/4/29	Industrial	BBB-/Baa2/NR	(12.1)	0.5
3	AIRFP	3.375	5/13/33	Industrial	NR/A1/NR	(6.4)	n/a
Technology							
1	RCFFP	4.750	3/28/32	Technology	BBB-/NR/NR	(12.5)	n/a
2	FISV	4.500	5/24/31	Technology	BBB-/Baa2/NR	(10.3)	13.1
3	RCFFP	5.250	11/22/28	Technology	BBB-/NR/NR	(8.7)	9.7
Utilities							
1	ONCRTX	4.550	11/26/56	Utilities	BBB-/Baa2/BBB	(23.0)	n/a
2	ENELIM	1.375	1/0/00	Utilities	BB+/Baa3/BBB-	(20.0)	17.5
3	REESM	4.375	1/0/00	Utilities	BBB-/NR/BBB-	(18.0)	n/a

Worst Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials							
1	SNFF	4.500	3/15/32	Basic Materials	BBB-/NR/NR	17.0	10.9
2	SOLBBB	3.875	4/3/28	Basic Materials	BBB-/NR/NR	16.2	17.4
3	SNFF	2.625	2/1/29	Basic Materials	BBB-/NR/NR	13.2	29.9
Communications							
1	CKHGTH	1.500	10/17/31	Communications	A-/Baa1/A	23.0	27.5
2	DECFP	2.625	4/24/28	Communications	BBB-/Baa3/NR	18.8	24.7
3	INFLN	1.250	4/22/28	Communications	BBB-/Baa2/BBB	16.9	9.5
Consumer, Cyclical							
1	FLTR	5.000	4/29/29	Consumer, Cyclical	BBB-/Ba1/BBB	26.0	(27.8)
2	CCL	4.125	7/15/31	Consumer, Cyclical	BBB-/Ba1/BBB-	24.9	3.3
3	CCL	5.750	1/15/30	Consumer, Cyclical	BBB-/Ba1/BBB-	23.6	21.5
Consumer, Non-cyclical							
1	NEXIIM	3.875	5/21/31	Consumer, Non-cyclical	BBB-/NR/BBB-	37.6	42.1
2	MAN	3.750	12/13/30	Consumer, Non-cyclical	BBB-/Baa1/NR	21.1	13.5
3	BAX	1.300	5/15/29	Consumer, Non-cyclical	BBB-/Baa3/NR	19.0	17.8
Energy							
1	ANESM	0.375	10/7/27	Energy	NR/NR/BBB-	48.4	34.5
2	BPLN	3.625	1/0/00	Energy	BBB-/A3/A-	18.7	21.1
3	BPLN	4.375	1/0/00	Energy	BBB-/A3/A-	18.0	30.7
Financial							
1	ATHORA	5.875	9/10/34	Financial	NR/NR/BBB	34.7	10.3
2	SAMPFH	3.375	5/23/49	Financial	NR/A3/NR	30.6	16.0
3	MONBNK	4.414	9/11/30	Financial	NR/A3/NR	27.7	16.5
Industrial							
1	SKFBSS	0.875	11/15/29	Industrial	NR/Baa1/BBB+	84.2	40.2
2	SKFBSS	0.250	2/15/31	Industrial	NR/Baa1/BBB+	83.7	8.9
3	IDSLN	4.000	10/1/32	Industrial	BBB-/NR/NR	18.7	11.1
Technology							
1	IFXGR	3.625	1/0/00	Technology	BBB-/NR/NR	15.3	25.2
2	IBM	1.500	5/23/29	Technology	A-/A3/A-	14.5	(3.5)
3	RCFFP	3.750	6/24/29	Technology	BBB-/NR/NR	12.8	(27.2)
Utilities							
1	DOLOEN	3.500	10/9/30	Utilities	NR/NR/BBB+	19.3	31.0
2	ENGIFP	1.875	1/0/00	Utilities	BBB-/Baa3/BBB	17.9	6.7
3	EPEN	6.651	11/13/28	Utilities	BBB-/NR/BBB-	17.3	22.3

US IG – Single A & BBB 5-10Y Carry and Roll-Down Screen

Name	Bond	Rating	Price	Spreads (bp)	Duration	1yr Roll (bp)	Carry + Roll (bp)
A							
SKY GROUP FINANCE PLC	CMCSA 6 1/2 10/15/35	A3	106	122	6.9	34	156
SOUTHERN CAL EDISON	EIX 5.55 01/15/36	A3	99	126	7.2	24	150
EVERGY MISSOURI WEST INC	EVRG 3 3/4 03/15/32	A3	92	121	4.9	22	143
SALESFORCE INC	CRM 5.55 03/15/36	A2	100	111	7.3	31	142
INTUIT INC	INTU 5 1/2 06/15/36	A3	100	104	7.6	28	132
ENI SPA	ENIIM 5 1/4 05/18/36	A3	98	102	7.6	26	128
DAIMLER TRUCK FINAN NA	DTRGR 5 3/8 01/18/34	A3	100	101	6.0	27	128
BMW US CAPITAL LLC	BMW 5.4 03/21/35	A2	100	98	6.8	27	125
HYUNDAI CAPITAL AMERICA	HYNMTR 5 1/4 06/21/33	A3	100	101	5.7	19	120
MERCEDES-BENZ FIN NA	MBGGR 5 1/8 08/01/34	A2	99	97	6.4	23	120
BBB							
STELLANTIS FIN US INC	STLA 6.45 03/18/35	BBB3	99	226	6.4	60	286
TIME WARNER CABLE ENTRMN	CHTR 8 3/8 07/15/33	BBB3	111	204	5.2	39	243
COX COMMUNICATIONS INC	COXENT 4.8 02/01/35	BBB2	90	196	6.7	46	242
COMISION FEDERAL DE ELEC	CFELEC 3 7/8 07/26/33	BBB3	86	206	5.9	35	241
ORACLE CORP	ORCL 3.9 05/15/35	BBB2	85	173	7.2	50	223
FORD MOTOR CREDIT CO LLC	F 5.869 10/31/35	BBB3	97	179	7.0	36	215
OFFICE CHERIFIEN DES PHO	OCPMR 6.7 03/01/36	BBB3	104	170	6.9	26	196
ENBRIDGE INC	ENBCN 7.2 06/27/54	BBB3	106	178	6.0	17	195
ASSTEAD CAPITAL INC	AHTLN 5.8 04/15/34	BBB3	102	115	6.1	70	185
AES CORP/THE	AES 5 3/4 07/15/33	BBB3	101	133	5.7	39	172

EUR IG – Single A & BBB 5-10Y Carry and Roll-Down Screen

Name	Bond	Rating	Price	Spreads (bp)	Duration	1yr Roll (bp)	Carry + Roll (bp)
A							
EDENRED SE	EDENFP 3 3/4 01/15/33	A	100	108	5.8	93	202
CEZ AS	CEZCP 4 3/8 05/27/34	A	102	124	6.7	54	178
VOLKSWAGEN BANK GMBH	VW 3 3/4 12/10/32	A	99	128	5.7	47	175
BOOKING HOLDINGS INC	BKNG 3 3/4 03/01/36	A	98	105	8.2	35	140
ROBERT BOSCH GMBH	RBOSGR 4 05/21/36	A	100	107	8.3	31	139
ENI SPA	ENIIM 4 05/26/35	A	101	105	7.6	32	137
BMW FINANCE NV	BMW 4 05/19/36	A	100	107	8.3	27	133
LA POSTE SA	FRPTT 1 09/17/34	A	81	91	7.8	40	132
RELX FINANCE BV	RELLN 3 3/4 06/03/34	A	100	96	7.0	28	124
RECKITT BENCKISER TSY	RKTLN 4 05/28/35	A	101	95	7.5	27	121
BBB							
TELEPERFORMANCE	RCFFP 5 3/8 01/28/35	BBB	99	261	7.0	119	381
STELLANTIS NV	STLA 3 3/4 03/19/36	BBB	91	206	8.1	69	276
TDC NET AS	TDCDC 4 5/8 10/22/33	BBB	101	167	6.0	61	228
FORD MOTOR CREDIT CO LLC	F 4.087 02/17/33	BBB	98	160	5.8	48	208
AKZO NOBEL NV	AKZANA 4 5/8 03/25/36	BBB	101	156	7.8	37	193
FISERV INC	FISV 4 1/4 06/23/34	BBB	100	147	6.9	42	189
RCI BANQUE SA	RENAUL 4 1/4 05/23/34	BBB	100	148	6.8	41	188
VOLKSWAGEN BANK GMBH	VW 4 3/8 11/26/33	BBB	101	144	6.5	36	180
PROSUS NV	PRXNA 4.343 07/15/35	BBB	100	153	7.3	26	179
CAPGEMINI SE	CAPFP 3 1/2 09/25/34	BBB	96	126	7.1	52	178

US Capital Structure

			OAS (bp)					Excess Return (bp)				
			Current	12m Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
US IG			75		-2	+1	-11	-4	+19	-5	+93	+73
Rating	AA	51		-2	+3	-2	+3	+22	-29	+28	+17	
	A	63		-2	+0	-9	-2	+15	-3	+78	+58	
	BBB+	76		-1	+2	-11	-4	+18	-4	+100	+89	
	BBB	90		-2	+2	-15	-6	+20	-12	+119	+100	
	BBB-	122		-1	+2	-19	-7	+30	+12	+152	+104	
Curve	1-3 Yr	47		-1	-3	-15	-7	+5	+12	+47	+48	
	3-5 Yr	64		-1	+0	-13	-8	+6	+9	+73	+74	
	5-7 Yr	76		-2	+1	-12	-5	+14	+6	+96	+88	
	7-10 Yr	91		-3	+2	-8	-0	+22	-1	+99	+74	
	10-25 Yr	90		-2	+3	-10	-3	+35	-19	+138	+81	
	25+ Yr	102		-2	+5	-7	-0	+41	-64	+127	+76	
Cap Structure	Banks Snr Pref	56		-3	-4	-16	-6	+5	+9	+69	+56	
	Banks Snr Non-Pref	66		-1	-1	-11	-1	+9	+10	+75	+48	
	Banks Tier 2	99		-2	-3	-17	-6	+17	+22	+137	+90	
	Insurance Snr	79		-1	-0	-15	-3	+13	+1	+111	+65	
	Insurance Sub	122		-6	-4	-21	-6	+43	+1	+171	+100	
	Non-Fin Snr	74		-2	+2	-10	-5	+22	-13	+91	+77	
	Non-Fin Subs	145		-7	-0	-22	-23	+50	+13	+199	+231	
US HY			275		-11	+0	-39	-5	+45	+27	+210	+189
Senior	BB+	140		-9	-5	-33	+1	+43	+43	+186	+181	
	BB	151		-10	+4	-28	+3	+35	-2	+162	+147	
	BB-	182		-14	-2	-29	-9	+49	+18	+155	+139	
	B+	240		+1	+10	-49	-11	+30	+14	+232	+233	
	B	287		-14	-7	-53	+4	+43	+44	+231	+176	
	B-	391		-18	-14	-29	+27	+58	+62	+266	+299	
	CCC	979		+4	+32	-10	+109	+59	+47	+332	+260	
BB	Senr Sec	182		-7	+4	-24	-6	+34	+8	+153	+198	
	Senr Unsec	154		-13	-3	-33	-3	+46	+19	+168	+134	
	Sub	188		-7	-3	-35	-20	+58	+43	+333	+213	
B	Senr Sec	339		-12	-4	-39	+28	+47	+36	+206	+185	
	Senr Unsec	254		-6	+0	-51	-19	+38	+42	+288	+296	
	Sub	162		-10	-5	-41	-19	+42	+40	+247	+165	
CCC	Senr Sec	1,043		+24	+62	-96	-12	+29	+20	+571	+504	
	Senr Unsec	939		-10	+13	+33	+177	+78	+63	+194	+116	
	Sub	-		-	-	-	-	-	-	-	-	

EUR Capital Structure

		OAS (bp)						Excess Return (bp)			
		Current	12m Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
EUR IG		77	●	-1	+1	-14	-1	+9	+3	+89	+73
Rating	AA	51	●	-1	+2	-9	+1	+9	-5	+63	+52
	A	67	●	-1	+1	-13	-2	+8	+1	+80	+68
	BBB+	75	●	-0	+2	-12	-0	+6	+2	+83	+68
	BBB	86	●	+0	+2	-14	+0	+7	+2	+94	+74
	BBB-	97	●	-2	+1	-22	+0	+12	+6	+112	+86
Curve	1-3 Yr	51	●	-1	+2	-15	-3	+3	+2	+48	+43
	3-5 Yr	71	●	-1	+1	-15	-1	+6	+2	+80	+64
	5-7 Yr	85	●	-1	+1	-14	-1	+10	+3	+100	+79
	7-10 Yr	90	●	-1	+1	-11	-2	+12	-1	+115	+94
	10+ Yr	91	●	-1	+1	-10	-3	+14	-7	+129	+106
Cap Structure	Banks Snr Pref	63	●	-2	-1	-16	-6	+3	+4	+71	+66
	Banks Snr Non-Pref	75	●	-1	+0	-16	-2	+9	+8	+91	+82
	Banks Tier 2	103	●	-2	-1	-23	-4	+12	+16	+121	+95
	Insurance Snr	66	●	+1	+1	-19	+0	+3	+3	+95	+47
	Insurance Sub	111	●	-0	-2	-21	-2	+16	+30	+143	+95
	Non-Fin Snr	73	●	-1	+2	-13	-0	+8	-1	+83	+66
	Non-Fin Subs	127	●	-8	+2	-19	-11	+49	+12	+150	+124
EUR HY		267	●	-1	+7	-59	-1	+25	+16	+250	+170
Senior	BB+	142	●	-6	+4	-39	-3	+27	+4	+181	+103
	BB	172	●	-5	+0	-43	+7	+25	+12	+190	+139
	BB-	220	●	+0	+23	-49	+8	+19	-24	+238	+163
	B+	327	● ●	+17	+23	-35	-2	+14	+17	+259	+181
	B	320	● ●	-3	-2	-79	+5	+5	+10	+319	+162
	B-	507	●	-21	-34	-220	-12	-6	+64	+341	+64
	CCC	1,338	● ●	+19	+2	-235	-1	+28	+164	+755	+663
BB	Senr Sec	185	●	-9	+8	-64	-14	+22	-5	+216	+155
	Senr Unsec	166	●	-4	+7	-38	+5	+25	-1	+194	+120
	Sub	162	●	-7	-1	-29	+2	+49	+25	+202	+180
B	Senr Sec	360	●	-9	-6	-99	+1	+6	+22	+291	+139
	Senr Unsec	357	●	+28	+20	-104	-12	+6	+28	+347	+189
	Sub	360	●	-71	-60	-100	-28	+3	-60	+488	+362
CCC	Senr Sec	1,451	●	+14	-2	-259	-57	+14	+152	+669	+646
	Senr Unsec	977	●	+9	-10	-190	-43	+73	+198	+1,008	+782
	Sub	-		-	-	-	-	-	-	-	-

US Sector Performance

			OAS (bp)					Excess Return (bp)			
			Current	12M Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month
US IG Senior											
Cyclical	Automotive	78		-1	+1	-19	-6	+9	+2	+99	+75
	Banking	63		-1	-2	-12	-2	+8	+11	+72	+54
	Basic Industry	85		-3	+2	-16	-7	+26	-5	+137	+107
	Capital Goods	62		+3	+5	-5	-1	+17	-2	+85	+86
	Consumer Goods	62		-2	-1	-11	-4	+23	+10	+100	+76
	Energy	79		-2	+5	-11	-11	+20	-28	+114	+110
	Financial Services	80		-2	-1	-15	-1	+12	+7	+98	+49
	Insurance	79		-1	-0	-15	-3	+13	+1	+111	+65
	Leisure	82		+1	+3	-19	-7	+14	+15	+116	+86
	Real Estate	73		-2	-1	-17	-6	+14	+12	+113	+90
	Services	63		-2	+0	-9	-2	+14	+1	+79	+66
	Transportation	71		-2	-0	-14	-6	+27	+8	+141	+116
Non-Cyclical	Healthcare	62		-3	-1	-12	-7	+26	+8	+103	+93
	Media	97		-2	+8	+3	-4	+31	-69	-26	-45
	Retail	57		-3	+2	-6	-2	+26	-19	+60	+43
	Technology & Electronics	81		-3	+4	-8	+2	+21	-49	+70	+53
	Telecommunications	89		+1	+8	+1	+4	+1	-65	+30	+38
	Utility	78		-3	-0	-11	-5	+29	+7	+110	+91
US HY Senior											
Cyclical	Automotive	267		+5	+3	-64	+19	+9	+23	+252	+133
	Banking	113		-22	-4	-10	+10	+36	+15	+46	+39
	Basic Industry	275		-1	+4	-52	+4	+37	+41	+285	+207
	Capital Goods	225		-9	-22	-46	+40	+36	+73	+222	+181
	Consumer Goods	250		+2	-7	-28	+15	+60	+76	+126	+105
	Energy	185		-5	+23	-17	-106	+42	-23	+116	+401
	Financial Services	251		-11	-13	-78	+22	+45	+62	+294	+103
	Insurance	314		-10	+33	+36	+139	+35	-95	-12	-113
	Leisure	242		-0	-10	-55	-5	+50	+111	+289	+249
	Real Estate	195		-16	+3	-64	-31	+47	+35	+263	+241
	Services	282		-15	-6	-55	+24	+30	+30	+234	+91
	Transportation	301		-35	-59	-116	-20	+43	+128	+223	+76
Non-Cyclical	Healthcare	238		-17	-16	-72	-24	+35	+55	+264	+244
	Media	473		-30	+6	+12	-25	+92	-21	+77	+109
	Retail	197		-15	-25	-86	-79	+42	+74	+275	+265
	Technology & Electronics	468		+32	+80	+25	+114	+67	-48	+230	+31
	Telecommunications	356		-29	-4	-62	-17	+18	-38	+150	+249
	Utility	149		-16	-6	-25	+14	+40	+26	+139	+172

EU Sector Performance

		OAS (bp)						Excess Return (bp)			
		Current	12M Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
EUR IG Senior											
Cyclical	Automotive	83	•	-1	+9	-8	+5	+11	-26	+53	+41
	Banking	71	•	-1	+0	-15	-3	+7	+7	+83	+76
	Basic Industry	70	•	-0	+2	-15	-3	+6	+1	+89	+71
	Capital Goods	61	•	-2	+1	-14	-2	+10	+1	+79	+62
	Consumer Goods	64	•	-1	+1	-12	-1	+7	-1	+76	+66
	Energy	69	•	-1	+4	-11	-3	+7	-12	+67	+84
	Financial Services	77	•	-1	+1	-18	-2	+9	+2	+99	+77
	Insurance	66	•	+1	+1	-19	+0	+3	+3	+95	+47
	Leisure	93	•	-1	+1	-10	+8	+13	+8	+90	+49
	Real Estate	98	•	+0	-0	-24	+1	+6	+16	+149	+86
	Services	72	•	-0	+2	-12	+2	+5	+2	+75	+58
	Transportation	70	•	-1	+1	-9	-0	+8	+0	+66	+58
Non-Cyclical	Healthcare	63	•	-1	+1	-12	-3	+10	-0	+79	+65
	Media	76	•	-1	+1	-13	+0	+10	-15	+78	+51
	Retail	65	•	-0	+2	-12	+1	+6	-4	+78	+55
	Technology & Electronics	74	•	-2	-0	-16	+6	+6	+4	+92	+48
	Telecommunications	74	•	-1	+2	-10	-3	+6	-2	+75	+66
	Utility	74	•	-0	+1	-11	-1	+9	+3	+83	+75
EUR HY Senior											
Cyclical	Automotive	197	•	-4	+9	-66	+10	+21	-1	+198	+105
	Banking	214	•	+35	+35	-5	+11	+7	+29	+135	+145
	Basic Industry	403	•	+6	+5	-131	-76	-13	-14	+442	+393
	Capital Goods	256	•	-17	-16	-103	+14	+39	+88	+433	+240
	Consumer Goods	287	•	+22	+17	-32	+30	+43	+48	+237	+144
	Energy	206	•	-5	+12	-30	-84	+22	-3	+167	+429
	Financial Services	397	•	-9	+22	-108	-110	+43	-7	+371	+260
	Insurance	381	•	-17	-6	-28	+34	+55	+50	+199	+85
	Leisure	257	•	+18	+26	-35	-5	+17	+52	+289	+279
	Real Estate	349	•	-6	-25	-93	+15	+27	+68	+343	+166
	Services	247	•	-9	+17	-115	-44	+13	-17	+170	+38
	Transportation	222	•	-12	-11	-67	+24	+43	+78	+285	+76
Non-Cyclical	Healthcare	288	•	-6	+7	-12	+34	+27	+14	+191	+156
	Media	498	•	-8	+0	-41	-124	+21	+25	+158	-0
	Retail	219	•	-13	+6	-155	-10	+32	+40	+274	+194
	Technology & Electronics	349	•	+13	+5	-77	-22	-13	-26	+227	-66
	Telecommunications	325	•	+13	+24	-13	+41	+8	-12	+189	+108
	Utility	201	•	-8	-11	-48	-17	+19	-4	+169	+105

US – Credit/Equity Screen

Names with richest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
NOC	Northrop Grumman Corp	Capital Goods	BBB1	19	-4	0%	549	-4%	15%
PFE	Pfizer Inc	Healthcare	A2	31	-2	4%	24	-2%	11%
MCD	McDonald's Corp	Retail	BBB1	23	-0	10%	281	-8%	10%
LOW	Lowe's Cos Inc	Retail	BBB1	30	-2	3%	228	-6%	23%
DIS	Walt Disney Co/The	Media	A2	31	-3	18%	100	-13%	11%
OLN	Olin Corp	Basic Industry	BB2	166	-25	20%	20	-4%	10%
AZO	AutoZone Inc	Retail	BBB2	30	-1	23%	3,159	-7%	10%
SVC	Service Properties Trust	Real Estate	CCC2	353	-246	11%	2	-6%	26%
DHR	Danaher Corp	Healthcare	A3	21	-4	0%	198	-14%	41%
LEN	Lennar Corp	Basic Industry	BBB2	81	+3	34%	88	-14%	8%
COF	Capital One Financial Corp	Financial Services	BBB1	66	-1	7%	205	-15%	37%
WY	Weyerhaeuser Co	Real Estate	BBB2	28	-1	13%	24	+0%	31%
KR	Kroger Co/The	Retail	BBB2	35	-1	42%	58	-7%	3%
NEM	Newmont Corp	Basic Industry	A3	28	-7	1%	97	-3%	47%
CCL	Carnival Corp	Leisure	BBB3	101	-3	14%	28	-9%	36%
MDLZ	Mondelez International Inc	Consumer Goods	BBB2	37	-4	0%	61	+13%	52%
HD	Home Depot Inc/The	Retail	A2	25	-2	8%	358	+4%	46%
GM	General Motors Co	Automotive	BBB2	97	-3	3%	76	-7%	54%
EMN	Eastman Chemical Co	Basic Industry	BBB2	69	-19	12%	69	+8%	48%
PG	Procter & Gamble Co/The	Consumer Goods	AA3	19	-3	0%	151	+6%	60%
WMT	Walmart Inc	Retail	AA2	22	-3	16%	112	+0%	44%
MCK	McKesson Corp	Healthcare	A3	30	-1	18%	786	-4%	44%
NFLX	Netflix Inc	Media	A3	34	-16	55%	78	-17%	7%
DRI	Darden Restaurants Inc	Retail	BBB2	37	-5	0%	204	+11%	63%
KBH	KB Home	Basic Industry	BB1	137	-15	4%	61	+8%	60%

US – Credit/Equity Screen

Names with cheapest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
AMD	Advanced Micro Devices Inc	Technology	A2	49	+6	99%	518	+142%	94%
MGM	MGM Resorts International	Leisure	BB3	220	+45	89%	47	+29%	93%
UNH	UnitedHealth Group Inc	Healthcare	A2	53	+9	82%	425	+29%	99%
MET	MetLife Inc	Insurance	AA3	73	+14	76%	90	+14%	100%
AEP	American Electric Power Co Inc	Utilities	A3	36	+2	75%	139	+20%	99%
AMZN	Amazon.com Inc	Retail	AA3	55	+19	95%	243	+5%	77%
BYD	Boyd Gaming Corp	Leisure	BB3	125	+8	72%	88	+3%	94%
PKG	Packaging Corp of America	Capital Goods	BBB2	35	+3	70%	238	+16%	95%
PRU	Prudential Financial Inc	Insurance	BBB1	82	+24	73%	113	+0%	90%
SO	Southern Co/The	Utilities	BBB1	40	-0	66%	98	+12%	97%
ALL	Allstate Corp/The	Insurance	BBB1	30	+5	62%	250	+20%	100%
AMKR	Amkor Technology Inc	Technology	BB2	105	+4	75%	70	+76%	84%
CSCO	Cisco Systems Inc/California	Technology	A1	31	+1	72%	113	+46%	86%
PNC	The PNC Financial Services Group, Inc.	Banking	A3	52	+6	54%	249	+20%	99%
IBM	International Business Machines Corp	Technology	A3	51	+13	83%	290	-2%	66%
EXPE	Expedia Group Inc	Leisure	BBB2	79	+23	62%	269	-5%	85%
DELL	Dell Inc	Technology	BBB2	59	-7	54%	394	+213%	92%
WMB	Williams Cos Inc/The	Energy	BBB2	51	+1	61%	73	+22%	81%
BAX	Baxter International Inc	Healthcare	BBB3	92	+11	70%	23	+19%	72%
OMC	Omnicom Group Inc	Media	BBB1	58	+13	62%	79	-3%	77%
RDN	Radian Group Inc	Insurance	BBB3	88	+4	39%	38	+5%	99%
INTC	Intel Corp	Technology	BBB2	64	-7	43%	120	+226%	92%
VZ	Verizon Communications Inc	Telecommunication	BBB1	67	+6	99%	43	+4%	37%
SRE	Sempra	Utilities	A2	37	+2	59%	93	+5%	76%
IRM	Iron Mountain Inc	Real Estate	BB3	135	+2	55%	117	+41%	80%
CAR	Avis Budget Group Inc	Services	B2	355	+19	62%	163	+27%	72%
ASH	Ashland Inc	Basic Industry	BB2	99	+1	35%	67	+14%	98%
AXP	American Express Co	Financial Services	A2	33	+4	63%	352	-5%	70%
AIG	American International Group Inc	Insurance	A3	54	+6	53%	79	-7%	71%

EU – Credit/Equity Screen

Names with richest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
GRFSM	Grifols SA	Healthcare	B2	237	-40	2%	9	-16%	14%
TELEFO	Telefonica SA	Telecommunications	BBB3	60	-11	5%	4	+2%	16%
STERV	Stora Enso Oyj	Capital Goods	BBB3	81	-3	4%	9	-12%	17%
ADENVX	Adecco Group AG	Services	BBB2	86	-12	16%	16	-30%	11%
ELTLX	Electrolux AB	Consumer Goods	BBB3	125	-10	29%	28	-20%	8%
EOFP	Forvia SE	Automotive	BB3	254	+10	35%	9	-33%	2%
SOLBBB	Solvay SA	Basic Industry	BBB3	79	-3	20%	26	-3%	20%
BMW	Bayerische Motoren Werke AG	Automotive	A2	50	+4	38%	61	-35%	3%
MBGGR	Mercedes-Benz Group AG	Automotive	A2	50	+4	38%	45	-25%	3%
RENAUL	Renault SA	Automotive	BBB2	122	+7	39%	26	-26%	2%
ALOFP	Alstom SA	Capital Goods	BBB3	83	+13	43%	16	-36%	3%
KERFP	Kering SA	Retail	BBB1	59	+1	15%	248	-17%	35%
HPLGR	Hapag-Lloyd AG	Transportation	BB1	167	-29	11%	117	-0%	41%
VW	Volkswagen AG	Automotive	BBB3	95	+5	50%	77	-26%	2%
METSA	Metsa Board Oyj	Capital Goods	BBB3	140	-14	42%	3	-11%	11%
SGOFP	Cie de Saint-Gobain SA	Basic Industry	BBB1	42	+1	20%	80	-8%	33%
TUIGR	TUI AG	Leisure	BB3	248	+13	26%	7	-20%	29%
HEIGR	Heidelberg Materials AG	Basic Industry	BBB2	67	+4	47%	175	-21%	10%
IMBLN	Imperial Brands PLC	Consumer Goods	BBB2	61	+0	54%	2,792	-10%	13%
ITVLN	ITV PLC	Media	BBB3	69	-7	1%	82	-1%	70%
BPLN	BP PLC	Energy	A2	48	-1	12%	467	+8%	61%
ADNA	Koninklijke Ahold Delhaize NV	Retail	BBB1	26	-0	15%	36	+3%	60%
VOD	Vodafone Group PLC	Telecommunications	BBB2	45	+1	29%	99	-0%	51%
MUNRE	Munich Re	Insurance	A2	37	+6	66%	498	-11%	14%
ENFP	Bouygues SA	Basic Industry	A3	39	+0	18%	48	+9%	61%
STLA	Stellantis NV	Automotive	BBB3	178	+38	82%	5	-48%	0%
ERICB	Ericsson	Technology	BBB3	61	-3	9%	106	+17%	73%
PHIANA	Koninklijke Philips NV	Healthcare	BBB1	33	-5	2%	25	+6%	82%
MWDP	Wendel SE	Financial Services	BBB2	73	-2	22%	83	+1%	62%

EU – Credit/Equity Screen

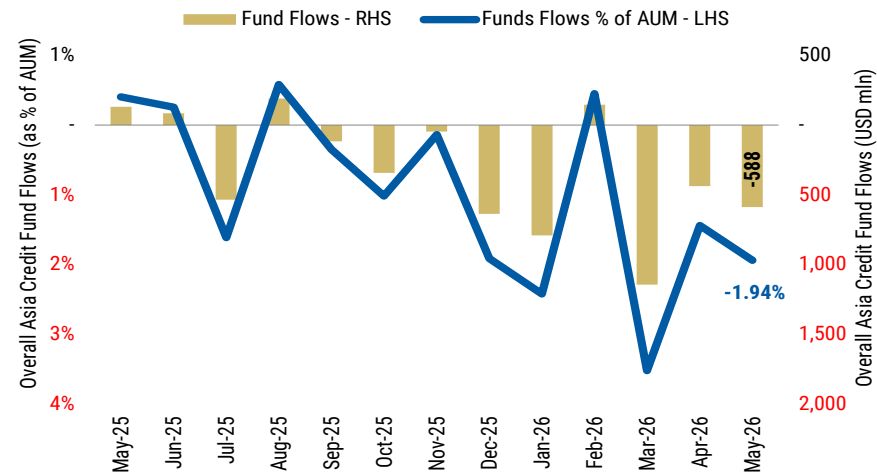
Names with cheapest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
NESNVX	Nestle SA	Consumer Goods	AA3	30	+5	80%	85	+7%	100%
SIEGR	Siemens AG	Capital Goods	AA3	29	+5	74%	283	+18%	100%
AIFP	Air Liquide SA	Basic Industry	A2	25	+3	71%	180	+24%	100%
IBESM	Iberdrola SA	Utilities	BBB1	39	+6	69%	22	+18%	99%
HENKEL	Henkel AG & Co KGaA	Consumer Goods	A2	34	+10	77%	75	+8%	91%
SSELN	SSE PLC	Utilities	BBB1	34	+5	90%	2,507	+15%	77%
TKAAV	Telekom Austria AG	Telecommunications	A3	27	+8	86%	10	+8%	81%
ASSGEN	Generali	Insurance	BBB1	52	+5	66%	43	+20%	100%
SZUGR	Suedzucker AG	Consumer Goods	BBB3	168	+4	90%	11	+18%	76%
ALVGR	Allianz SE	Insurance	A1	38	+7	66%	419	+7%	100%
EDPPL	EDP SA	Utilities	BBB2	51	+6	65%	5	+20%	97%
HEIANA	Heineken NV	Consumer Goods	BBB1	36	+5	70%	76	+9%	91%
AZN	AstraZeneca PLC	Healthcare	A1	31	+4	75%	14,456	+5%	85%
PSON	Pearson PLC	Media	BBB2	50	+5	59%	1,227	+17%	99%
ENELIM	Enel SpA	Utilities	BBB1	51	+5	57%	10	+16%	100%
BATSLN	British American Tobacco PLC	Consumer Goods	BBB1	52	+6	64%	4,621	+10%	92%
TELIAS	Telia Co AB	Telecommunications	BBB1	28	+8	89%	46	+16%	66%
AXASA	AXA SA	Insurance	A2	45	+4	50%	44	+7%	99%
TTEFP	TotalEnergies SE	Energy	A1	32	+2	80%	67	+20%	66%
MMBFP	Lagardere SA	Retail	B	145	+27	69%	20	+5%	77%
FUMVFH	Fortum Oyj	Utilities	BBB1	40	+4	66%	21	+13%	79%
EQNR	Equinor ASA	Energy	AA3	30	+2	72%	318	+34%	72%
AVLN	Aviva PLC	Insurance	A2	59	+5	68%	668	-2%	74%
TSCOLN	Tesco PLC	Retail	BBB2	49	+3	64%	467	+6%	76%
ISPIM	Intesa Sanpaolo SpA	Banking	A3	60	+3	40%	6	+4%	99%
GSK	GSK PLC	Healthcare	A2	31	+1	59%	2,015	+10%	79%
NGGLN	National Grid PLC	Utilities	BBB1	46	+6	69%	1,244	+9%	70%
ENGIFP	Engie SA	Utilities	BBB1	37	+3	50%	28	+24%	88%
CPGLN	Compass Group PLC	Services	A2	31	+6	79%	33	+3%	59%

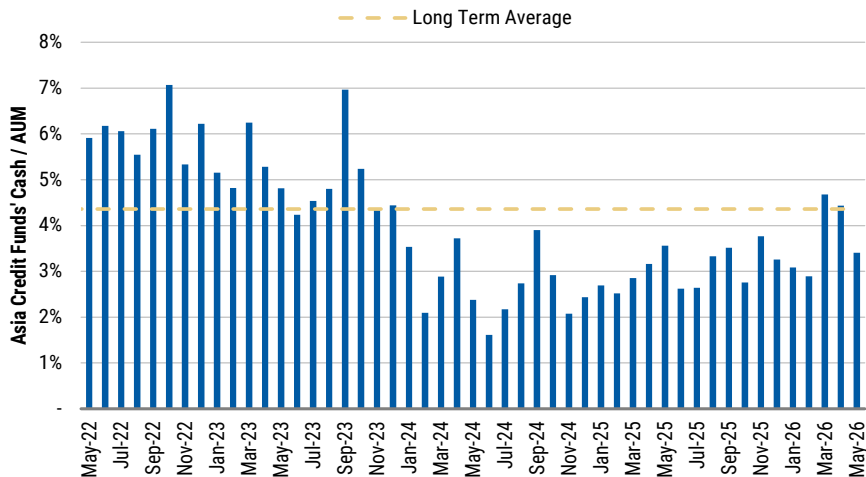
Source: IHS Markit, Bloomberg, Morgan Stanley Research

Asia Credit

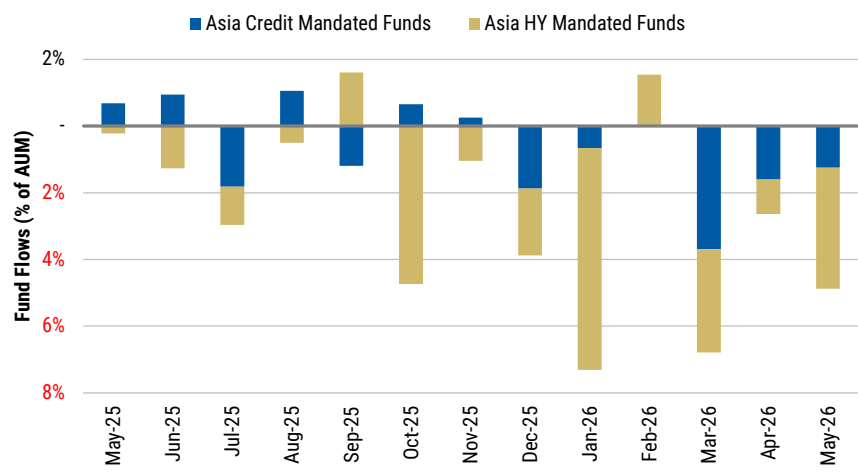
Asia Credit Demand



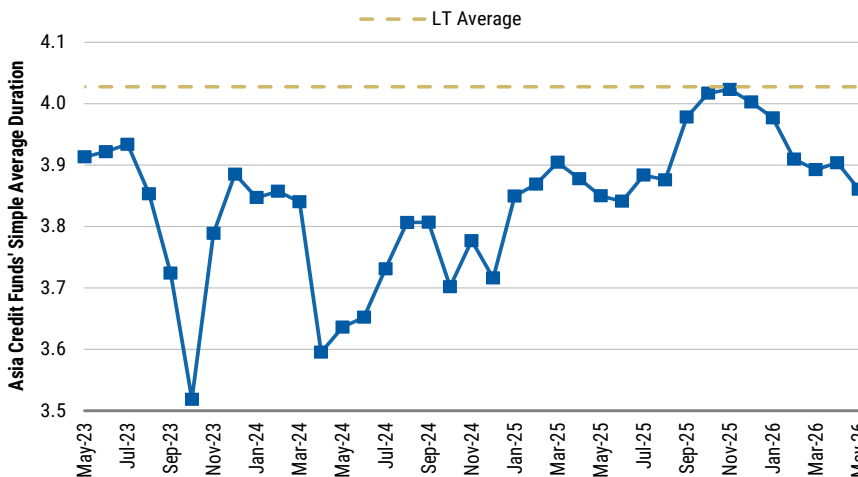
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Source: Bloomberg, Morgan Stanley Research

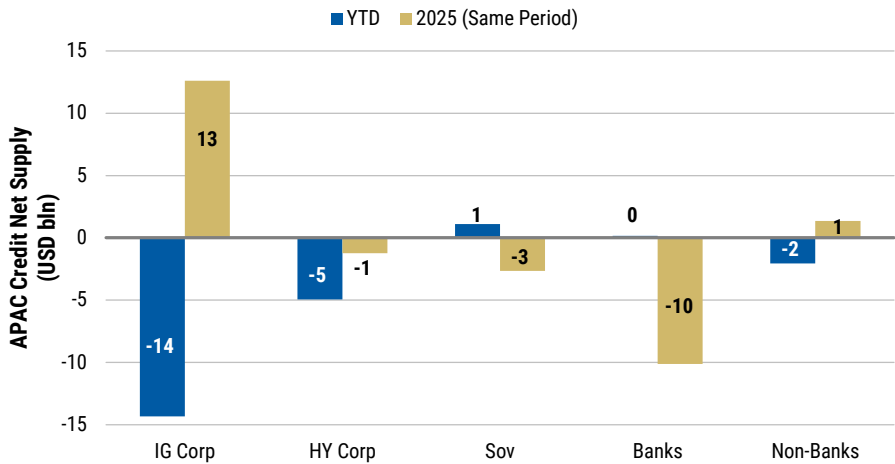


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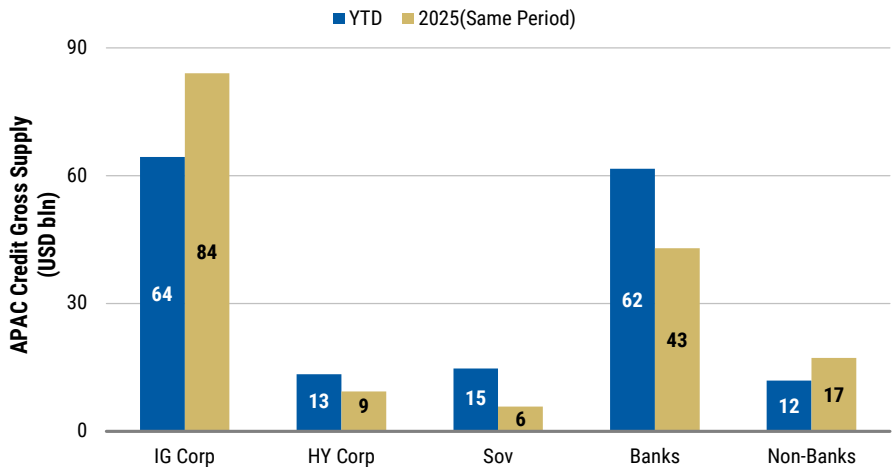


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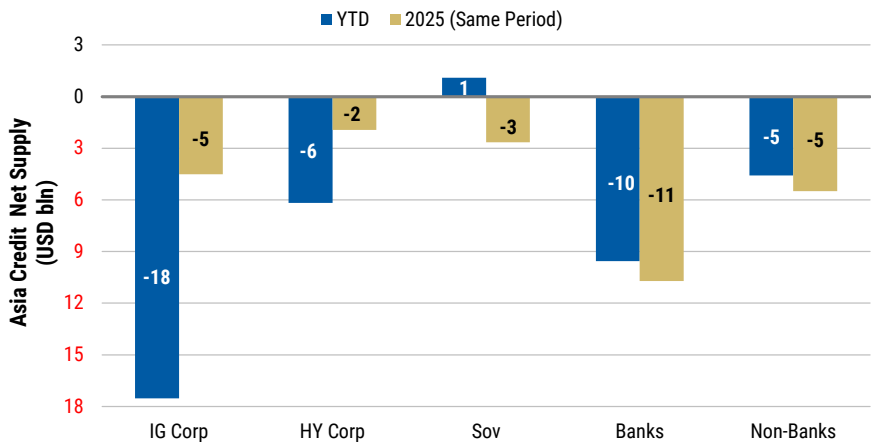
Asia Credit Supply



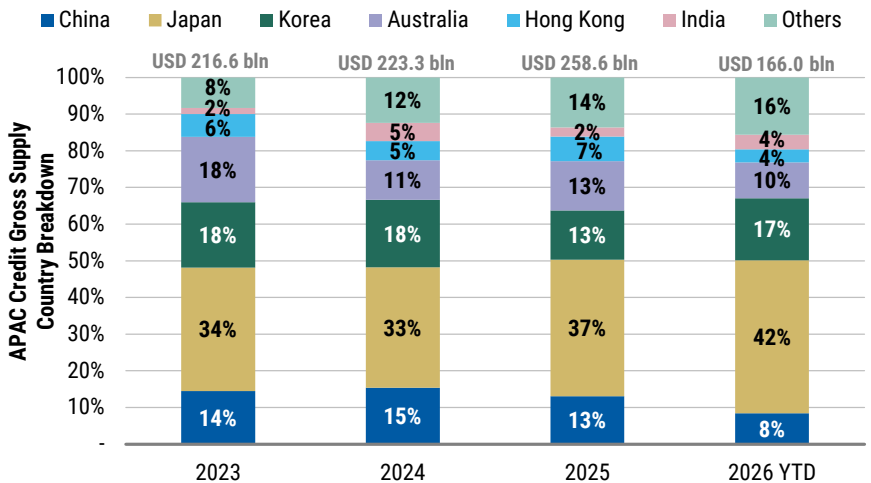
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Source: EMDB, Bloomberg, Morgan Stanley Research

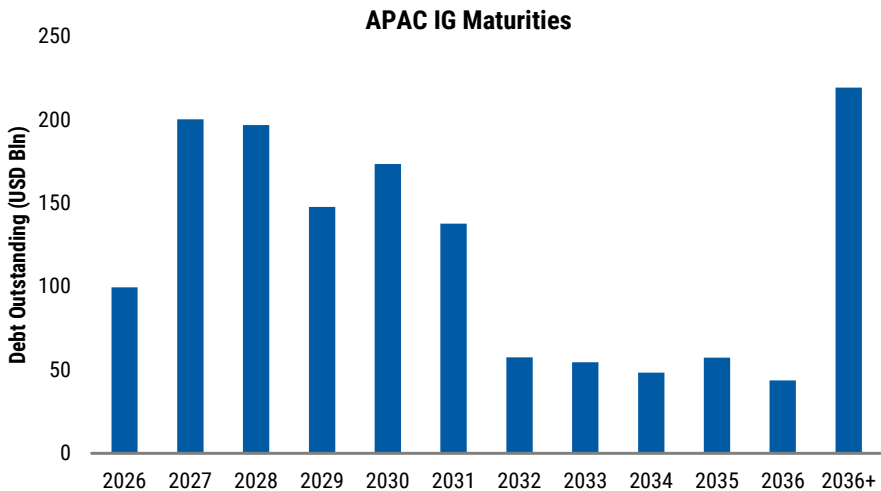


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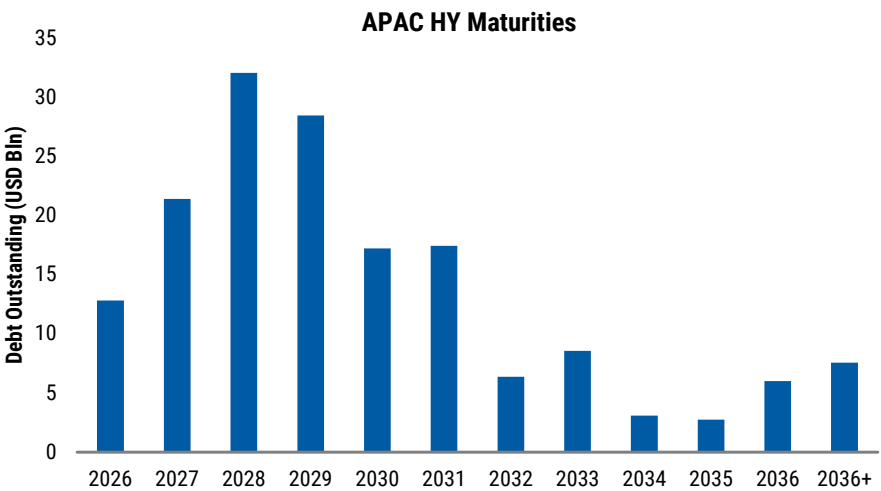


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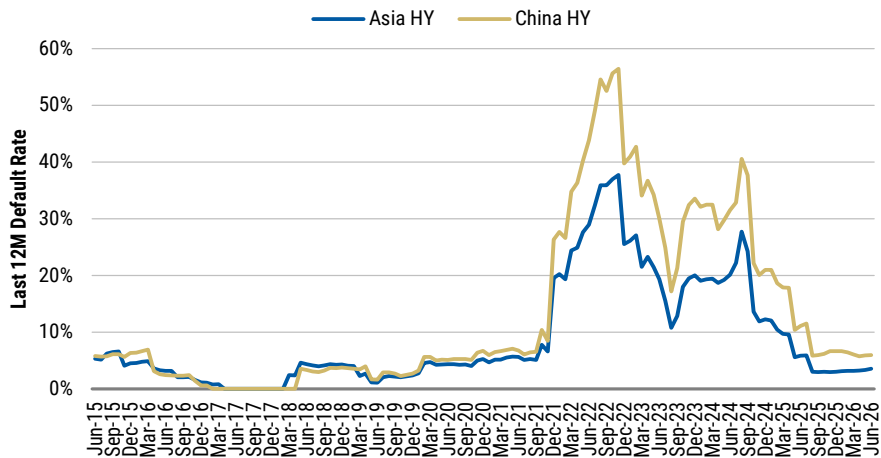
Asia Maturity Wall and Default Rate



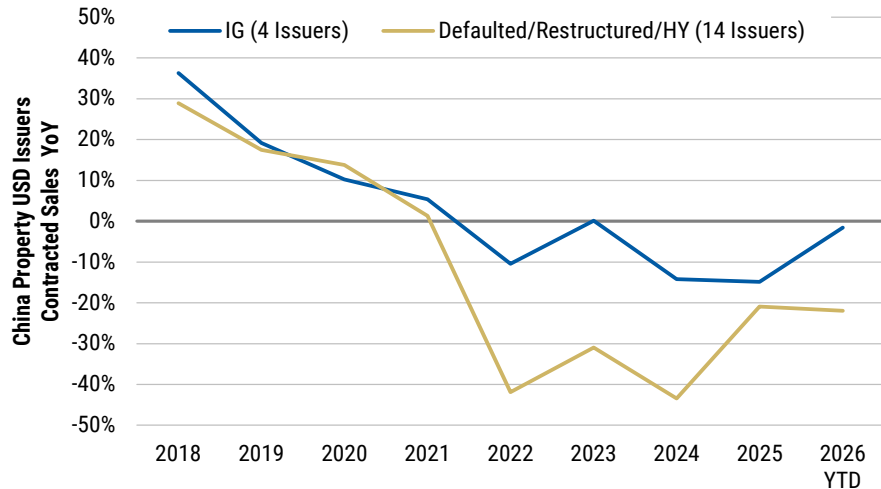
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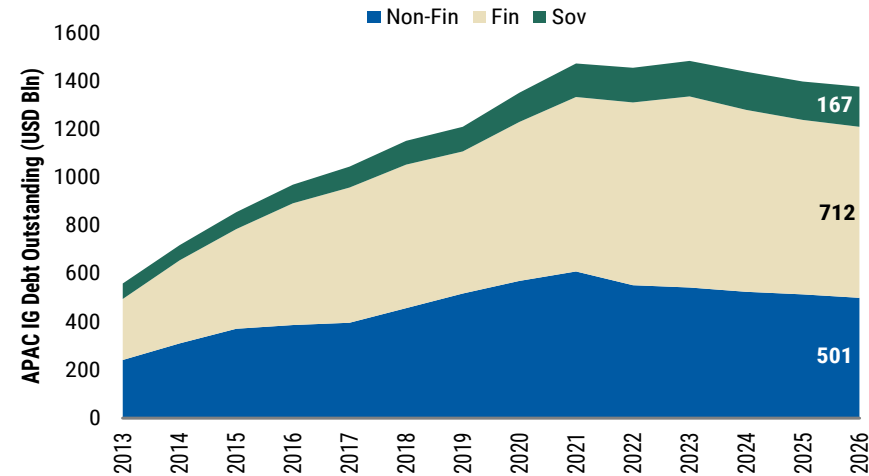


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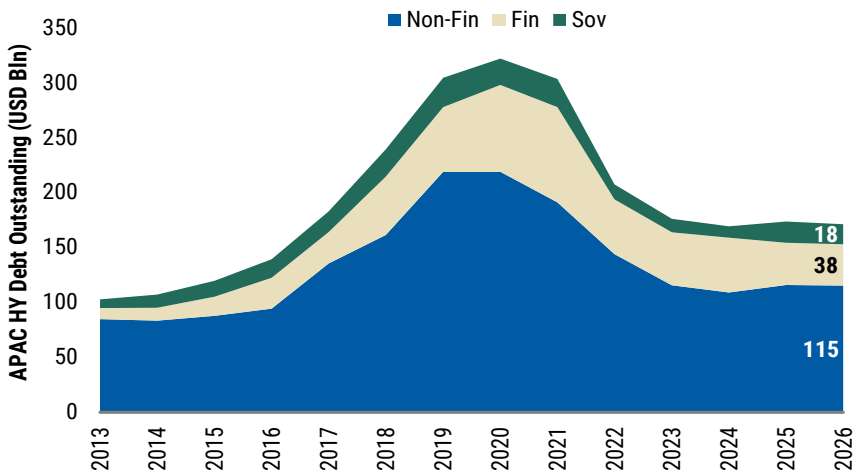


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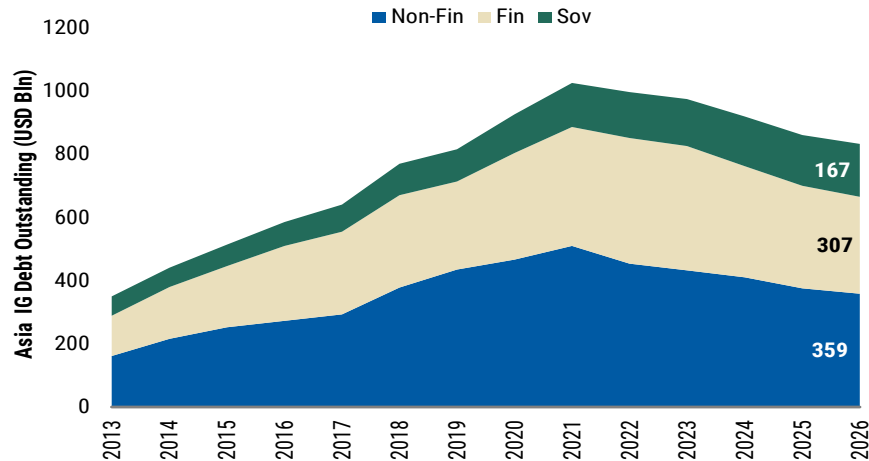
Asia Debt Outstanding



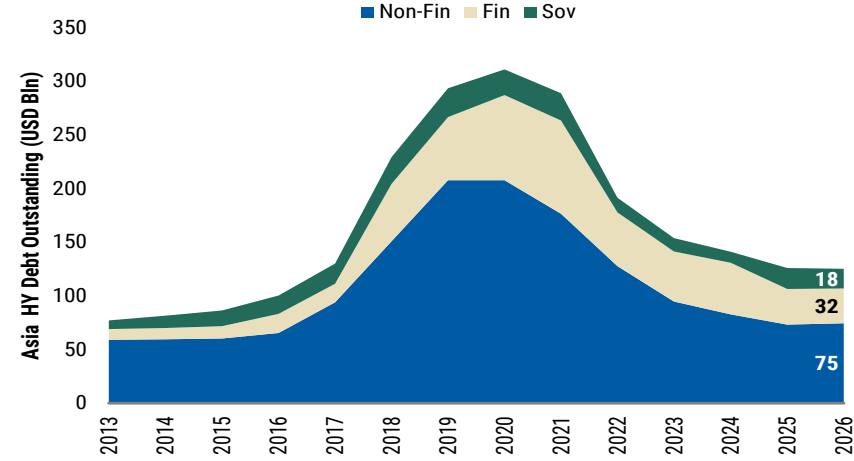
Source: EMDB, Bloomberg, Morgan Stanley Research



Source: EMDB, Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

Valuation Methodology and Risks – US

Idea	Rationale	Risk
10s30s Curve Steepening	From a supply perspective, long-end issuance YTD has been concentrated among higher-quality hyperscalers, limiting broader steepening pressure, though we expect incremental M&A-related issuance to add some support further out the curve.	Lower hyperscaler and M&A issuance, both of which could keep the curve flatter for longer.

Valuation Methodology and Risks – EU

Idea	Rationale	Risk
Barbell 3-5y and 15y+	Flat curves provide an opportunity shorten duration without giving up significant spread carry and roll-down. Yield curves bear flattened since early March, adding a further boost for yield buyers to focus on the <5y cohorts. Reverse yankee issuance should put more upward pressure further out. Meanwhile 15y+ spreads have steepened relative to the 10-15y range.	Shorter dated bonds are more vulnerable to outflow driven selling, while in a sharp sell-off, long-duration bonds are more likely to underperform.
Buy French Bank CDS vs. Sell iTraxx Senior Financials	French risk premia within corporate credit has broadly tracked the performance of OATs over the past two years, leaving these cohorts exposed to further widening in sovereign spreads. However, we think cash spreads have underperformed the moves in OATs. We prefer to position for this move by buying protection on French Bank CDS versus selling protection on iTraxx SnrFins, as the relationship has not fully priced in the recent widening in OATs, currently trading at only +5bp.	The risk to this trade is a sharp compression in French risks.

Definitions

Buy/Long: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be positive over the relevant time period.

Sell/Short: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be negative over the relevant time period.

Selling protection or Buying Risk: The analyst expects that the price of protection against the event occurring will decrease over the relevant time period.

Buying protection or Selling Risk: The analyst expects the price of protection against the event occurring will increase over the relevant time period.

Pay: The analyst expects that over the specified time period the variable rate underlying the swap agreement that is the subject of the investment recommendation will increase.

Receive: The analyst expects that over the specified time period the variable rate underlying the swap agreement that is the subject of the investment recommendation will decrease.

Unless otherwise specified, the time frame for recommendations included in the Morgan Stanley Fixed Income Research reports is 1 - 3 months and the price of financial instruments mentioned in the recommendation is as at the date and time of publication of the recommendation.

When more than one issuer or instrument is included in a recommendation, analyst expects one part of the trade to outperform the other trade or combination of other trades included in the recommendation on a relative basis.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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